



Enforcement Rules of KONEX Market Business Regulation

Formulated on September 13, 2013

Amended on:

December 18, 2013

*February 28, 2014; June 18, 2014; June 20, 2014; July 11, 2014; September 19, 2014;
October 30, 2014; November 13, 2014*

June 4, 2015; July 20, 2015; August 20, 2015

April 25, 2016; June 21, 2016; June 24, 2016; November 10, 2016

February 28, 2017; May 29, 2017; June 19, 2017; September 19, 2017

June 26, 2018; September 12, 2018; December 5, 2018; December 28, 2018

April 3, 2019; April 17, 2019; July 22, 2019; September 10, 2019; November 27, 2019

March 9, 2020; March 17, 2020; May 6, 2020; June 15, 2020; August 5, 2020

March 8, 2021; March 12, 2021; May 6, 2021; May 7, 2021; October 27, 2021; November 25, 2021

April 28, 2022; August 26, 2022; September 30, 2022; October 19, 2022; November 11, 2022; December 22, 2022

August 8, 2023; November 23, 2023

February 27, 2025; March 26, 2025; December 29, 2025

January 15, 2026

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CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of these Enforcement Rules shall be to stipulate the matters delegated by and the matters necessary for the enforcement of the KONEX Market Business Regulation (hereinafter referred to as "the Regulation").

§2. Definitions

(1) The terms used in these Enforcement Rules shall have the same meanings given to them in the Regulation.

(2) "Criterion specified in the Enforcement Rules" in [§2(13)] of the Regulation shall refer to the case where the price of different class of stocks of the day exceeds twice the price of common stocks concerned.

CHAPTER II. OPERATION OF THE MARKET

§3. Change of trading hours

(1) "Case where it is stipulated in the Enforcement Rules as it is deemed necessary for market management" in [§4(3)] of the Regulation shall refer to any of the following cases:

1. In the case of failures of the KONEX Market systems, member systems, and/or other computer systems that are known to perform similar functions thereof (hereinafter referred to as "the computer system failure");
2. In the case of the first trading day of the year; or
3. In addition, other cases where the Exchange deems it necessary to change the trading hours.

(2) In the case of falling under paragraph (1)1, the trading hours in regular session shall, in principle, be extended for the duration of computer system failure, but the market closing time may be extended to the time that the Exchange deems it necessary. Provided that, if the system is not fully recovered by the market closing time, it shall be deemed that the trading

was closed at the time the system failure occurred.

(3) Failure of the member systems mentioned in paragraph (1)1 shall refer to the case when the sum of the trades executed by the members who are experiencing a computer system failure [referring to the cases where members are unable to transmit quotations to the KONEX Market (hereinafter referred to as “Market”) through the member computer system, but excluding computer system failures that are limited to specific offices of the members or specific regions; the same hereinafter] amounts to or exceed 75% of the total trading volume(based on the total volume of trades executed during twelve (12) months prior to the last day of the month preceding the month to which the day on which the system failed belongs and the cases of admission of new members as well as the membership withdrawal shall take into account; the same hereinafter). Provided that, in the case of total volume of trades of the members with the occurrence of system failure being under 75% of the total volume of trades, pursuant to paragraph (1)1, the Exchange may regard it as a failure of member system when the Exchange deems necessary considering market circumstances of each following subparagraphs:

1. Case of total volume of trades of the member with the occurrence of system failure per member being over 75% of the total volume of trades in the KOSPI or KOSDAQ Market; and
2. Case of normal market operation being troubled due to the occurrence of member system failure.

§4. Designation of Trading Types

“Case stipulated in the Enforcement Rules” in [§8(4)] of the Regulation shall refer to the case of trading in any of the following subparagraphs: (Amended on October 30, 2014)

1. As a stock trade conducted pursuant to [§14(4)1 & 2] of the Regulation, when both the bid and offer quotations are submitted by a single member (in the case of member who received multiple member IDs pursuant to [§7(3)], it shall be limited to the quotations placed under the same member ID; the same hereinafter in [§33(2)]) and the relevant member has submitted the application for cash settlement to the Exchange in accordance with the [Annex: Form No. 10-2] three (3) days before placing the quotations, the trade the Exchange deems it necessary; and
2. The trade according to buy-in by the Exchange pursuant to [§22] of the Securities Market Clearing and Settlement Business Regulations. (Amended on February 27, 2025)

§5. Guideline for Connection to Member System, etc.

(1) “Matters stipulated in the Enforcement Rules” in [§9(1)] of the Regulation shall refer to the matters in each of the following subparagraphs: (Amended on February 28, 2014)

1. Network connection method between the members and the Exchange;
2. Method of applying for and allotting the communication lines and sessions between the member and the Exchange;
3. Prerequisites of security device noted in [§57(2)] of the Regulation;
4. Criteria for allocation and operation of member session; and
5. In addition, the matters that the Exchange deems necessary for the efficient and reliable system operation.

(2) “Communication line” in paragraph (1) shall refer to the physical line used to transmit and receive the quotations and trade details etc. between the members and the Exchange, and “session” shall refer to the logical circuit that electronically transmit and receive the quotations, trade details, etc. (Amended on February 28, 2014)

CHAPTER III. TRADING

§6. Quotation Receiving Hours

(1) “Quotation receiving hours stipulated in the Enforcement Rules” in [§10(1)] of the Regulation shall refer to each of the following hours: (Amended on December 30, 2010; June 21, 2016; April 3, 2019)

1. In the case of regular session, the hours noted in each of following items for each trading type:
 - (a) In the case of trading types other than that under item (b): From thirty (30) minutes before the opening of trading hours of the regular session (hereinafter referred to as “market opening”) to the closing of trading hours (hereinafter referred to as “market closing”).
 - (b) Regular session block trade: From the market opening to the market closing.
2. In the case of off-hours sessions, each of the following hours:

(a) Pre-hours sessions: From 08:00 hours to 09:00 hours; and

(b) For the after-hours sessions, the hours classified for each trading type as follows:

(i) Off-hours closing price trade: From the closing time of the regular session to 16:00 hours;

(ii) Off-hours block trade: From 15:40 hours to 18:00 hours

(c) One-way auction: From 08:00 hours to 08:30 hours

3. One-sided auction: From 08:00 hours to 08:30 hours

(2) The Exchange may change the quotation receiving hours mentioned in paragraph (1) in the case falling under any of the following subparagraphs:

1. Where the trading hours has been changed pursuant to [§3(1)]; and

2. In addition to subparagraph 1, the cases that are deemed necessary for the market management.

§7. Details of Quotation

(1) In cases where a member submits quotations pursuant to [§10(1)] of the Regulation, each of the following details shall be included: (Amended on December 18, 2013; October 30, 2014; June 21, 2016; February 28, 2017; June 19, 2017; December 22, 2022; August 8, 2023; November 23, 2023)

1. ID number of the member;

2. ID number of branch office;

3. Account number;

4. Classifications of following trading sessions:

(a) When submitting quotations for trades other than those noted in subparagraphs 4(b) and 4(c), the following classifications:

(i) Regular session

(ii) After-hours session (case for off-hours closing price trade)

(b) When submitting quotations for block trade (referring to the regular session block

trade noted in [§25] of the Regulation and off-hours block trade noted in [§26-2] of the Regulation; the same hereinafter), the following classifications:

- (i) Pre-hours session;
- (ii) Regular session; and
- (iii) After-hours session

(c) In the case of quotations submitted for one-sided auction, such classification:

5. For processing of quotations, the following classification;

- (a) Newly submitted quotation;
- (b) Correction of quotation already submitted; and
- (c) Cancellation of quotation already submitted.

6. Order number (in the case of correcting or canceling a quotation submitted, the order number of the original quotation shall be included);

7. Issue code;

8. Classification of bid or offer;

9. In the case of offer quotation, the following classification;

- (a) Offer quotation falling under any of [§11(1)] of the Regulation;
- (b) Covered short sale quotation pursuant to [§11(2)] of the Regulation; and
- (c) Any other offer quotation.

10. Classification of proprietary account transaction or customer account transaction;

10-2. One of the following items based on the method of generating quotation:

- (a) High-speed algorithmic trading quotation;
- (b) Algorithmic trading quotation excluding the quotation in item (a); or
- (c) Quotations excluding quotations in items (a) and (b).

10-3. In the case of submitting quotations through high-speed algorithmic trading account, matters in each of the following items:

- (a) A number (hereinafter referred to as the “high-speed algorithmic trading number”) that combines the trader registration number and risk management number pursuant to [§82-4(5)]. Provided that, in the case of quotations falling under items 10-2 (b) and (c), it is limited to cases where the self-match prevention condition pursuant to [§11-2] and

the mass order cancellation pursuant to [§12-2].

(b) Conditions in the case of quotations imposed the self-match prevention condition pursuant to [§11-2]; and

(c) Quotation group number in Annex Form 1-2 to apply the mass order cancellation pursuant to [§12-2].

11. Classification of limit quotation or market quotation;

12. Price. Provided that this provision shall not apply to the case of market quotation, and quotation participating in the off-hours closing price trade or the case of submitting a quotation to cancel the quotation already submitted;

13. Quantity;

14. In the case of accounts, following classification;

(a) In the case of submitting quotations pursuant to each subparagraph of [§8(1)] (including the case where a quotation is submitted through the account of an investor who has entered into an agreement for discretionary investment or through account opened per individual trust asset under the member's name), the classification of such account; and

(b) [Deleted on April 28, 2022]

(c) In the case of submitting a quotation through foreigner's omnibus accounts under Article 6-7(7) of the Regulations on Financial Investment Business, the classification of such accounts.

15. In cases of trading treasury stocks, each of the following classification;

(a) Trading of treasury stocks to deliver when the stock option is exercised;

(b) Trading subsequent to entering into the trust contract for the treasury stocks; and

(c) Trading of treasury stocks for the purpose other than those noted in items (a) and (b).

15-2. In the case of trading the treasury stocks, classification of each of following trading method;

(a) Treasury stock trading subject to [§26-2(3)] of the Regulation;

(b) Treasury stock trading subject to both [§14(4) and §26-2(2)] of the Regulation; and

(c) Treasury stock trading other than those noted in items (a) and (b).

16. In the case of the liquidity providing quotations pursuant to the main sentence of [§17(1)] or [§17(2)] of the Regulation, such classification;

17. In the case of quotation for arbitrage or hedge trading, the following classification;

(a) Non-arbitrage trading while it is arbitrage trading of collective investment securities of ETF collective investment vehicle;

(b) Trading other than non-arbitrage trading while it is arbitrage trading of collective investment securities of ETF collective investment vehicle;

(c) Arbitrage trading of DRs;

(d) Trading under [§12(2)4] of the Regulation;

(e) Trading under [§12(2)5] of the Regulation; and

(f) Other hedge trading.

18. In the case of quotations for trading a basket of stocks, the following classification;

(a) Non-arbitrage trading;

(b) Non-arbitrage trading for the creation of collective investment securities of ETF collective investment vehicle; and

(c) Trading conducted for the creation of collective investment securities of ETF collective investment vehicle while it is not non-arbitrage trading.

19. In cases where the customer is a foreigner, whether or not they reside in Korea and whether or not there is an identification means (hereinafter referred to as the “foreigner identification means”) under subparagraph 14 of Article 6-1 of the Regulations on Financial Investment Business. Provided that, in the case of foreigners treated as citizens (hereinafter referred to as the “foreigner treated as a citizen”) under subparagraph 2 of Article 6-1 of the Regulations on Financial Investment Business, they shall be classified as not having foreigner identification means;

20. Investor classification code. Provided that, in the case of trading linked with a contract for difference (hereinafter referred to as the “CFD”) prescribed in Article 5-49-2 of the Financial Investment Business Regulations, it is based on the investor who concluded the CFD;

21. In the case of an investor who has to deposit the upfront good faith deposit pursuant to [§61] of the Regulation, such classification;

22. Data (the private IP and MAC address when using the internal communication network of the member or KOSCOM) that is necessary to identify the order input device specified in [§68(3)2];

22-2. In cases where a customer or a member receives the short selling registration number noted in Article 6-37, Paragraph 2 of the Financial Investment Business Regulation (hereinafter referred to as “short selling registration number”), such short selling registration number; [March 26, 2025]

23. Country code;

24. In the case of margin trading prescribed in the Regulations on Financial Investment Business, the classification for such trading;

24-2. In the case of trading linked to the CFD, such classification; and

25. In the case of receiving an order from other investment dealer or broker, ID number that identifies the investment dealer or broker that has placed the relevant order.

(2) Notwithstanding paragraph (1), when submitting quotations for block trade, the member shall include items in the following subparagraphs: (Amended on February 28, 2014; October 30, 2014; March 12, 2021; December 22, 2022)

1. The details specified in each subparagraph of paragraph (1). Provided that subparagraphs 10-3(b) and (c), 11, and 16 shall be excluded; and

2. Negotiation number, detailed negotiation number and names of negotiating parties. Provided that, in the case where the block trade in the regular trading session or the block trade in the after-hour trading session is made by the method in accordance with [§33(1)2], member number and account number of the other party and the time when the negotiation was completed shall be inputted.

(3) The Exchange may issue multiple ID numbers pursuant to paragraph (1)1 and paragraph (2)1 to a member when it is deemed inevitable to do so due to a delay in the modification of member computer system following a merger between members.

(4) When placing a quotation upon receiving an order from other investment brokers, the member shall input the account number and investor classification code on the basis of the customer who placed the order to the relevant investment broker.

(5) In cases where the branch office number or account number has been changed, the

member shall immediately notify the Exchange of the details of such change.

(6) In cases where the Exchange notifies other quotation information to input in addition to paragraphs (1), (2) and (4), the member shall comply with such request.

§8. Collective Quoting of Order Details Relating to Several Accounts

(1) “Cases stipulated in the Enforcement Rules” in the proviso to [§10(1)] of the Regulation shall refer to any one of the following subparagraphs: (Amended on April 17, 2019)

1. Where a member engaged in the discretionary investment business submits quotations using an account in its own name upon receiving orders in order to manage individual discretionary investment property efficiently pursuant to Article 99(2)4 of the Enforcement Decree of the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Enforcement Decree of the Act”). In such cases, the person responsible for the discretionary investment business shall be clearly noticeable;

2. Where a member engaged in the trust business submits the quotations using an account in its own name upon receiving orders in order to manage individual trust property (excluding trust property intending to acquire or dispose the treasury stocks) efficiently pursuant to Article 109(1)5 of the Enforcement Decree of the Act. In such cases, the person responsible for the trust business shall be clearly noticeable;

3. Case of quoting the order details using an account in the name of a foreign financial investment company or a representative investor or an account in the name of an investment broker to manage the investment of foreign investor groups (excluding foreigners treated as citizens) prescribed in the Regulations on the Financial Investment Business of the FSC; and

4. Additionally, cases where, according to the relevant statutes, it is deemed necessary to quote order details using such accounts as those in investment broker’s name, etc.

(2) In the case of quoting order details relating to multiple accounts pursuant to paragraph (1), the member shall use a separate account.

§9. Checking Items Including Quotation Suitability, etc.

“Matters specified in the Enforcement Rules” noted in [§10(3)] of the Regulation shall refer to matter noted in each of the following subparagraphs: (Amended on October 30, 2014; April 17, 2019; December 22, 2022)

1. Account number under [§7(1)3]

2. Specifics about issue noted in each of the following items:

- (a) Issue code under [§7(1)7]; and
- (b) If the issue is suspended from trading pursuant to [§30] of the Regulation, the KONEX Market Listing Regulation (hereinafter referred to as “the Listing Regulation” or the KONEX Market Disclosure Regulation (hereinafter referred to as “the Disclosure Regulation”).

3. With regard to quantity of quotation, the matters noted in each of the following items:

- (a) Trading quantity unit under [§27(1)];
- (b) Quotation quantity limit under [§10(2)];
- (c) Quantity limit of liquidity providing quotation under [§23(2)]; and
- (d) Quantity limit of quotation submitted to trade treasury stock under [§19(1)2].

4. Matter about quotation price noted in each of the following items:

- (a) Quotation price unit under [§27(2)];
- (b) Price limit range under [§19] of the Regulation;
- (c) Restriction on quotation price under [§10(4)1];
- (d) Quotation spread ratio of liquidity providing quotations under [§18(3)] of the Regulation; and
- (e) Restriction on quotation price submitted for treasury stock trade under [§14(1) and (5)] of the Regulation.

5. Quotation type noted in each of the following items:

- (a) Quotation type pursuant to [§2(5)] of the Regulation; and
- (b) Input restriction of quotation pursuant to [§10(1)].

6. In cases of one-sided auction, price limit pursuant to [§27(2)] of the Regulation

7. Matters necessary for market management noted in each of following items:

- (a) If the good faith deposit has been collected pursuant to [§61(5), (8) and(9)] of the Regulation; and
- (b) [Deleted on April 28, 2022]
- (c) Restrictions that the Exchange imposes per customer and per issue for the management of market.

8. Matters in each of the following items when inputting the high-speed algorithmic trading number pursuant to [§7(1)10-3(a)]:

(a) Whether quotations are submitted through the high-speed algorithmic trading account reported pursuant to [§70-3(3)] of the Regulation; and

(b) Whether the high-speed algorithmic trading number linked to account in item (a) matches the high-speed algorithmic trading number inputted [§7(1)10-3(a)].

9. Other matters deemed necessary by the member.

§10. Restrictions on Placement of Quotations

(1) Pursuant to [§10(6)] of the Regulation, in a case which falls under any of the following subparagraphs, a member shall not input market quotations: (Amended on December 30, 2014; June 21, 2016; June 19, 2017; December 22, 2022)

1. Case of the quotations for covered short sales under the price restriction pursuant to [§12] of the Regulation, liquidity providing quotations stipulated in [§17(1) or (2)], quotations for trading of treasury stocks (including treasury stocks under trust contract), quotations for block trade, or quotations for off-hours closing price trade;

2. Case of placing quotations for issues of which trading is allowed for a certain period pursuant to [§33] of the Listing Regulation (hereinafter referred to as “issues scheduled to be delisted”);

3. Case of placing quotations for the determination of the first price on the first trading day of the issues falling under any of the subparagraphs of [§36(4)] (hereinafter referred to as the “issue using the opening price as the base price”);

4. Quotations affixed with the condition of self-match prevention noted in [§11-2]; or

5. Other cases that the Exchange deems it necessary for market management.

(2) In cases where the quotation quantity exceeds the quantities specified in each of the following subparagraphs, no member shall input such quotations. Provided that this provision shall not apply to the quotations for block trading, one-sided auction (limited to offer quotations), or the quotations placed pursuant to [§22] of the Securities Market Clearing and Settlement Business Regulations. (Amended on October 30, 2014; September 12, 2018; February 27, 2025)

1. Where the amount calculated for every trading day by multiplying the base price determined in each of the items below (referred to as the “base price for the date of quotation placement” hereinafter in this Paragraph) by the number of listed securities (referred to as the “market capitalization for the date of quotation placement” hereinafter in this Paragraph) is KRW 10 trillion or more: the quantity calculated by dividing KRW

100 billion by the base price for the date of quotation placement (the quantity less than the trading unit of the regular session shall be rounded off to the trading unit; the same hereinafter in this Paragraph);

- (a) Issues other than items (b) and (c): the base price calculated pursuant to [§25] of the Regulation;
- (b) Issues using the opening price as the base price: the appraisal price determined by the [Annex 1];
- (c) Issues scheduled to be delisted: the closing price of the last trading day. Provided that, in cases where the issue has ex-dividend, ex-right, stock split, reverse stock split, etc., the price shall consider such event.

2. Where the market capitalization on the relevant trading day is KRX 100 billion or more but less than KRW 10 trillion: the quantity equivalent to 1/100 of the number of listed securities;

3. Where the market capitalization for on the relevant trading day is KRX 20 billion or more but less than KRW 100 billion: the quantity calculated by dividing KRW 1 billion by the base price on the relevant trading day; and

4. Where the market capitalization on the relevant trading day is less than KRW 20 billion: the quantity equivalent to 5/100 of the number of listed securities.

(3) In cases where the quantity of an order that a member has received from a customer falls under the quantity specified in paragraph (2), the quotations shall be placed by splitting the order quantity.

(4) The member shall not submit the quotation falling under any of the following subparagraphs: (Amended on December 22, 2022)

1. In the case of determining the opening price of the first trading day for the issue using the opening price as the base price, the quotations at the prices that are higher than the highest quotation price or lower than the lowest quotation price, which are specified in [Annex 1];and

2. In the case of issue determining the opening price of the first trading day for the issue using the opening price as the base price, the quotation for covered short selling with restriction on the price pursuant to [§12] of the Regulation.

3. In the case of falling under each of the following subparagraphs, quotations with the condition of self- match prevention pursuant to [§11-2]:

- (a) Issues scheduled to be delisted; and

(b) Issues subject to call auction due to abnormally soaring prices;

(5) In the cases of the paragraph (1)3, (4)1 and (4)2, the member shall not place the concerned quotation until receiving a notice of the first price determined. [May 7, 2021]

§11. Validity of Quotations

(1) Pursuant to [§10(6)] of the Regulation, the quotations shall be valid from the time of quotation receipt per trading session and trade type pursuant to [§6(1)] within the quotation receiving hours of the day pursuant to [§6], to the time of trade execution during the trading session. Provided that the validity of quotation shall not be acknowledged if the quotation falls under any of the following subparagraphs. Provided that cancellation quotations (including quotations to which the mass order cancellation pursuant to [§12-2] is applied) inputted during the period of the relevant trading halt or suspension shall be recognized as effective: (Amended on December 18, 2013; October 30, 2014; June 21, 2016; December 22, 2022)

1. The quotations (excluding the cancelling quotations) inputted during the time when the trading has been halted or suspended pursuant to [§6(1)], [§30(1)], and [§31] of the Regulation (including the cases of the trading halt or suspension pursuant to the Listing Regulation and the Disclosure Regulation);

2. Among the quotations participated in the determination of the opening price of the first trading day for the issue using the opening price as the base price, the quotations with prices that exceed the upper price limit or are below the lower price limit after the determination of the opening price; and

3. Other quotations that the Exchange deems unreasonable to accept the validity of quotation.

(2) In cases where measures such as the trading halt or suspension are taken during the quotation receiving hours for call auction, the validity of quotations received before the measures shall be suspended until the time of trade resumption.

§11-2. Validity of Quotations with Self-match Prevention Condition

(1) Pursuant to the proviso to [§10(6)] of the Regulation, in the case where, among the quotations of high-speed algorithmic traders, the high-speed algorithmic trading numbers of quotations are the same and it is possible to execute transactions between such quotations affixed with the following conditions, the quantity of the relevant quotation shall be deemed to be cancelled according to each of the following subparagraphs based on the condition imposed on the quotation received later:

1. A condition to cancel all of the balance of previously received quotation;
2. A condition to cancel the entire quantity of quotation received later; and
3. A condition to cancel each quantity that can be executed between buy and sell quotations.

(2) Paragraph (1) shall apply only to the case of continuous trading under [§24] of the Regulation during the regular trading session. Provided that this shall not apply if the relevant quotation is subject to the trading priority for simultaneous quotations pursuant to [§28(3)1].

[December 22, 2022]

§12. Cancellation or Correction of Quotations

(1) The cancellation or correction of quotation pursuant to [§10(6)] of the Regulation shall be allowed only to the unexecuted quotations among those received and shall be processed in the sequence of the receipt time of correction or cancellation quotations. (Amended on June 21, 2016)

(2) Pursuant to paragraph (1), a member may cancel or correct the quotations using any of the following methods:

1. Canceling the entire or a part of quantity quoted;
2. Correction of prices of entire or a part of quantity quoted into another price, if a limit quotation is corrected into the same type of quotation; and
3. Correction of entire or a part of quantity quoted into another type of quotation if a limit quotation or a market quotation is corrected into a different type of quotation.

§12-2. Mass Order Cancellation

(1) Members may apply to the Exchange to cancel all quotations received before application at once (hereinafter referred to as the “mass order cancellation”) by designating conditions for each high-speed algorithmic trading number only if all of the following subparagraphs are met. In such case, matters necessary for the application of the mass order cancellation,

such as classification of securities, conditions for cancellation, etc. shall be as specified in the Annex 1-3:

1. Cases for managing risks; and
2. Cases for submitting quotations through high-speed algorithmic trading account reported pursuant to [§70-3(3)] of the Regulation.

(2) Notwithstanding paragraph (1), the Exchange may not process the mass order cancellation in case of a system failure or other cases when it is deemed necessary for market management.

(3) Members shall record and maintain data related to the mass order cancellation for 10 years and submit the data when the Exchange request for the relevant data for market management, etc.

[December 22, 2022]

§12-3. Methods to Apply for Cancellation of Disconnected Quotations, etc.

(1) The “case where it is stipulated in the Enforcement Rules” in [§21-2(1)] of the Regulation shall refer to the case where, as a case in which the connection between the member system and the Exchange system is disconnected during the regular trading session and electronic transmission and reception does not occur, there is a determination in advance between the member applying for the cancellation of disconnected quotations and the Exchange.

(2) Pursuant to [§21-2(2)] of the Regulation, the range of cancellation of disconnected quotations shall be the number (excluding the number changed or cancelled through other sessions) of quotations not executed among quotations submitted through the session requested in advance pursuant to paragraph (3).

(3) Pursuant to [§21-2(2)] of the Regulation, the methods to apply for the cancellation of disconnected quotations and for the termination thereof shall be as specified in [§8(5)] of the Guidelines for Connection, etc. of Member System.

(4) The Exchange may not apply the cancellation of disconnection quotations in case of system failure or other cases where it deems necessary for market management.

[December 22, 2022]

§13. Methods of Verifying Covered Short Sale

(1) “Manner stipulated in the Enforcement Rules” in [§11(3)3] of the Regulation shall refer

to the preservation of the documents, tape recordings or electronic storage devices that validate the date and details of orders, which the member received from a customer, for a period of at least three (3) years as determined by the member.

(2) [Deleted on February 28, 2017]

§14. Restrictions on Quotations for Covered Short Sale

(1) “Covered short sale quotations placed to conduct the trades stipulated in the Enforcement Rules” in the proviso to the part other than subparagraphs of [§11(6)] of the Regulation shall refer to any of the followings: (Amended on March 12, 2021)

1. Quotations falling under any of subparagraphs 4 or 5 of [§12(2)] of the Regulation;
2. Liquidity providing quotations pursuant to [§17(1) or (2)] of the Regulation; or
3. Other quotations placed for the trades that the Exchange deems necessary.

(2) “Issues falling under the criteria set by the Enforcement Rules” in [§11(6)1] of the Regulation shall refer to the issues that fall under any of the following requirements (hereinafter referred to as the “overheated short sale issues”) on the basis of regular session and off-hours session. Provided that the issues using the opening price as the base price, the issues of which trades were not executed during the regular session of the day, the issues scheduled to be delisted or the issues for which the number of days with trades executed in the last forty (40) trading days is less than twenty (20) shall be excluded from the overheated short sale issues. [September 24, 2012] (Amended on September 20, 2017; August 26, 2022)

1. Issues of which the stock price decline rate, the proportion of short sale trading value to the market, and the increase rate of short sale trading value meet all of the following Items:
 - (a) The closing price of the day shall be not less than 90/100 and not more than 95/100 of the base price of the day;
 - (b) The proportion of the trading value of covered short sale to the trading value of the day shall be at least three (3) times (if the value is greater than 0.2, it shall be set at 0.2) the proportion of the trading value of covered short sale (numbers shall be rounded off to the third decimal point) of the quarter immediately preceding the quarter in which the relevant trading day falls to the total trading value of the constituent stocks of KOSDAQ 150 index (referring to the stock price index calculated by the Exchange with 1,000 points on January 4, 2010, the base date, in the market capitalization weighted method based on 150 blue chips among stocks listed on the KOSDAQ market; the same hereinafter) of the same period; and

- (c) The trading value of covered short sale of the day shall be at least five (5) times the average of the trading value of covered short sale for the latest forty (40) trading days.

2. Issues of which the stock price decline rate and the increase rate of short sale trading value meet all of the following Items:

- (a) The closing price of the day shall be 90/100 or lower of the base price of the day;
and
- (b) The requirement in Subparagraph 1(c) shall be satisfied.

3. Issues of which the stock price decline rate and the proportion and the increase rate of the trading value of covered short sale meet all of the following Items:

- (a) The closing price of the day shall be 97/100 or lower of the base price of the day;
- (b) The proportion of trading value of covered short sale of the day is 30% or more the total trading value of the relevant issue of the day; and
- (c) The trading value of covered short sale of the day shall be at least two (2) times the average of the trading value of covered short sale for the latest forty (40) trading days.

(3) The Exchange may restrict the quotations for covered short sale issues specified in paragraph (2) for one (1) day of the next trading day. Provided that, if the closing price of the relevant issue on the day when the restriction of covered short sale quotation is terminated is 95/100 or less of the base price of the day, the restriction of covered short sale quotation shall be extended until the next trading day and applied repeatedly at the end of every extension period. (Amended on September 20, 2017; August 26, 2022)

(4) Notwithstanding paragraphs (2) and (3), in cases where it is deemed necessary for the management of the market by the Exchange due to reasons including sudden changes in market conditions, the Exchange may set differently the criteria of overheated short sale issues under paragraph (2) and restriction period for quotation of overheated short sale issues under paragraph (3). [March 9, 2020] (Amended on August 26, 2022)

(5) The Exchange shall publish the overheated short sale issues specified in paragraphs (2) through (4) immediately and notify it to the members. (Amended on March 9, 2020)

[Wholly amended on February 28, 2017]

§15. [Deleted on March 12, 2021]

§16. Arbitrage Trading of DRs

(1) “Trade stipulated in the Enforcement Rule” in [§12(2)2] of the Regulation shall refer to the trade that falls under any of the followings:

1. Trades where the sale of the underlying stocks of DRs is conducted at the same time or immediately after or before the purchase of the relevant DRs; and
2. Trades where the purchase of the underlying stocks of DRs is conducted at the same time or immediately after or before the sale of the relevant DRs.

(2) The purchase or sale of [§16(1)] shall include the cases of the purchase or sale at one time and the cases of the purchase or sale at two or more times. (Amended on March 12, 2021)

§17. Restrictions on Quotation Prices for Covered Short Sale

(1) Pursuant to [§12(3)] of the Regulation, the proviso to [§12(1)] of the Regulation shall not apply to the case that falls under any of the following subparagraphs:

1. Case where the opening price is not yet determined; and
2. When the opening price is the same as the most recent market price [in the case of determining the opening price of the first trading day for the issue using the opening price as the base price, the appraisal price specified in [Annex 1] (the lowest quotation price if no appraisal price is available), and in any other cases, it shall be the closing price of the last trading day, but if the base price is available, the base price shall be used], the case where no price that is different from the relevant price has been determined.

(2) The provisions of [§12] of the Regulation shall not apply to the regular session block trade and off-hours session. (Amended on October 30, 2014)

§18. Follow-up Management of Short Sale Quotations

(1) The member shall preserve the relevant records and materials pursuant to [§13(1)] of the Regulation for the period of at least three (3) years as determined by the member. (Amended on September 24, 2012)

(2) In verifying the balance of securities held and quantity of securities to be settled pursuant to [§13(1)] of the Regulation, if the customer has electronically registered the relevant securities through trust companies or depository institutions, members shall obtain a notification on the status of settlement shortage from the trust companies or the depository institutions in accordance with [Annex: Form No. 1], by 12:00 noon on the settlement date. In such cases, if a trust company or a depository institution notifies the information on settlement shortage via the information network of the Korea Securities Depository (hereinafter referred to as “KSD”) (limited to the case where reasons for the settlement failure are stated according to the classifications in [Annex: Form No. 1]), it shall be deemed that such notification has been made in accordance with [Annex: Form No. 1]. (Amended on December 18, 2013; September 10, 2019)

(3) “The last six (6) months” in the part other than each subparagraph of [§13(3)] of the Regulation shall be calculated by counting from the day when the Exchange verified the fact that the customer sold the securities not in possession or securities that cannot be settled by the settlement day.

(4) When the entire selling securities are collected as the good faith deposit during the 120-day period from the trading day following the settlement date pursuant to [§61(5)2], each subparagraph under [§13(3)] of the Regulation shall not apply. [December 18, 2013] (Amended on December 28, 2018)

§19. Methods of Submitting Quotations for Trading of Treasury Stocks of Listed Corporations, etc.

(1) The quotations pursuant to [§14] of the Regulation shall be made according to each of the following methods: (Amended on February 28, 2014)

1. The quotations shall be placed at the price that is consistent with [§14] of the Regulation. In such cases, for the issues that had ex-dividends, ex-rights, and stock split or reverse stock split on the same day of placing such quotation, the base price of the day shall be deemed to be the closing prices of previous day and in the case of determining the opening price of the first trading day of an issue using the opening price as the base price, the appraisal price noted in [Annex 1] (if no appraisal price is available, it shall be the lowest quotation price) shall be deemed to be the closing price of previous day.

2. In the case of placing quotations pursuant to [§14(1)] of the Regulation, the quotation quantity shall be within the larger quantity among the quantities specified in each of the following items (the quantity below the trading unit shall be rounded down to the trading quantity unit; the same hereinafter in this Subparagraph). Provided that, in cases where such quantity exceeds 1/100 of the total number of shares issued, it should be the quantity within 1/100 thereof:

(a) Quantities equivalent to 10/100 of the number of stocks intended to acquire (dispose), which the listed company reported to the Financial Services Commission (hereinafter “FSC”) for the purpose of acquiring (disposing) its treasury stocks; and

(b) Quantities equivalent to 25/100 of average daily trading volume for one (1) month retroactive from the day before the date when the listed company filed the report on acquiring (or disposing) its treasury stocks with the FSC.

(2) No member shall be allowed to cancel the quotation after placing a quotation pursuant to paragraph (1).

(3) “The manner stipulated in the Enforcement Rules within the period stipulated therein” in [§14(3)] of the Regulation shall refer to “the submission of the application for purchase of treasury stocks of listed company of [Annex: Form No. 2] during the period from the market closing time of the previous trading day to 18:00 hours”

(4) The application under paragraph (3) shall be submitted in a form of electronic document. Provided that, in cases where due to the computer system failure, the application cannot be submitted in a form of electronic document or the details to be submitted cannot be confirmed, it may be submitted via facsimile, etc.

(5) In applying the provision of [§14(1)2] of the Regulation, “the base price of the day” shall be deemed “the latest execution price”, if the relevant issue has not traded during the regular session of the day until the time the quotation is placed; and in case the relevant quotation is submitted during the quotation receiving hours noted in [§29(2)3 or §36-2(2)2], “best bid quotation price” and “best offer quotation price” shall be construed as “expected best bid quotation price” and “expected best offer quotation price”, respectively. (Amended on July 20, 2015)

(6) In the case of the off-hours block trade pursuant to [§14(4) & (5)] of the Regulation, paragraph (3) shall apply *mutatis mutandis* to the matters concerning the submission of the application for transaction of treasury stocks. [October 30, 2014]

§20. Special Case of Bid Quotation Price for Acquisition of Treasury Stocks

(1) When intending to acquire the treasury stocks of a listed company by way of the method stipulated in [§15(1)] of the Regulation, the member shall place the quotations in accordance with manner noted in each of the following subparagraphs:

1. The quotations shall be submitted at the price that is consistent with each subparagraph of [§14(1)] of the Regulation. In such cases, the latter part of [§19(1)1] shall apply *mutatis mutandis* thereto; and

2. Quotation quantity shall be equal to or less than the quantity decided by the board of directors.

(2) The provisions of [§19] shall apply *mutatis mutandis* to the trading matters other than those mentioned in paragraph (1).

§21. Trading Methods of Treasury Stocks of Listed Corporations under Money Trust Contract

Provisions of [§19] and [§20] shall apply *mutatis mutandis* to the case where a member places a quotation for trading of treasury stocks under money trust contract using the method stipulated in [§16] of the Regulation. In such cases, the quotation quantity in [§19(1)2] shall be equal to or less than 1/100 of the total number of shares issued; and the quotation quantity in [§20(1)2] shall be equal to or less than the maximum acquirable quantity within the total money trust asset.

§22. Agreement for Liquidity Provision

(1) “Details stipulated in the Enforcement Rules” in [§17(1)] of the Regulation shall refer to each of the following details: (Amended on June 19, 2017; June 26, 2018; April 17, 2019)

1. Names of the member and the listed corporation;
2. Matters about the quotation spread ratio;
3. Matters about the quotation quantity;
4. Term of the agreement for liquidity provision;
5. Matters about the service charge, etc. relating to liquidity provision;
6. In the case of stating that the requirement for submission of bid liquidity providing quotation shall be exempted, in the event that the quantity of stocks acquired through the liquidity providing quotations exceeds 1/100 of total listed shares (shall be based on the settlement date), until the quantity of shares is brought down to less than 5/1000 of listed shares, the relevant details;
7. In the case of stating that the requirement for submission of bid liquidity providing quotation shall be exempted, in the event that the purchase amount of stocks acquired through the liquidity providing quotations exceeds KRW 60 million (shall be based on the settlement date), until the quantity of shares is brought down to less than KRW 30 million, the relevant details;

8. The content that, in the case of falling under the proviso to [§17(1)] of the Regulation, the requirement for submission of liquidity providing quotation shall be exempted, and the content that, in cases of intending to submit a liquidity providing quotation, a separate liquidity providing agreement shall be made; and

9. The clause stating that, in conjunction with the liquidity provision, the securities related laws and the regulations relating to the business of the Exchange shall be observed.

(2) “Cases stipulated in the Enforcement Rules” in the proviso to [§17(1)] of the Regulation shall be the cases falling under any of the following subparagraphs: (Amended on April 17, 2019; April 28, 2022; December 22, 2022)

1. Case of a listed corporation whose listing period from the date of listing is at least one (1) year (in cases of technology evaluation corporations or crowdfunding corporation that listed their stocks on the KONEX market pursuant to [§13-2] of the Regulation, one (1) year from the date of changing the corporation division pursuant to [§26-3] of the Listing Regulation) shall fall under any of the followings. Provided that issues scheduled to be delisted and issues with trading days of less than 30 days during the previous 6 months are excluded:

(a) The average daily trading volume (limited to trading executed during the regular session, excluding the block trading during the regular session; the same hereinafter in this Article) of the relevant issue shall be at least 250 shares for the last six (6) months (excluding the number of days of suspension of trading of the relevant issue; hereafter the same in this Article) from the day on which the period of one (1) year from the date of listing arrives; or

(b) The average daily trading volume of the relevant issue shall be at least 250 shares for every six (6) months (referring to periods from January to June and from July to December) each year if one (1) year has elapsed from the date of listing.

2. In the case of corporations that intend to list shares on the market (including technology evaluation corporations and crowdfunding corporations that intend to list stocks on the KONEX market pursuant to [§13-2] of the Listing Regulation), the shareholding ratio of minority shareholders (based on common stocks) pursuant to [§2(9)] of the Disclosure Regulation based on the list of shareholders under [§12(2)4] of the Listing Regulation shall be at least 10/100.

(a) [Deleted on April 28, 2022]

(b) [Deleted on April 28, 2022]

(3) When entering into an agreement for liquidity provision (referring to the appointment

contract for a designated advisor if the appointment contract for a designated advisor includes the matters on the liquidity provision pursuant to main sentence of [§17(1)] of the Regulation; the same hereinafter), terminating the relevant agreement thereafter, or changing the material details of the agreement, such facts shall be notified pursuant to [§17(6)] of the Regulation to the Exchange in accordance with [Annex: Form No. 3] at least three (3) trading days before the relevant agreement, etc. becomes effective. Provided that in the case of unavoidable circumstance where the agreement for liquidity provision has to be terminated without delay, the Exchange may be notified at the time when such circumstance has occurred, and in cases where a newly listed corporation submits the appointment contract for a designated advisor pursuant to [§12(2)9] of the Enforcement Rules of KONEX Market Listing Regulation (hereinafter referred to as “the Enforcement Rules of Listing Regulation”), it is construed that the notification in accordance with [Annex: Form No. 3] is made. (Amended on June 19, 2017; April 17, 2019)

(4) In cases where a member satisfies any of the requirements under each subparagraph of the paragraph (2) but still intends to submit liquidity providing quotations, the member shall enter into a separate liquidity providing agreement pursuant to the main sentence[§17(1)] of the Regulation and inform the Exchange of the fact pursuant to the paragraph (3). [April 17, 2019]

(5) The time when the obligation of the submission of liquidity providing quotations by satisfying the requirements in paragraph (2)1 shall be as followings: [April 17, 2019]

1. In cases of applying paragraph (2)1(a): Next trading day following the day on which the period of one (1) year arrives after the date of listing;
2. In cases of applying paragraph (2)1(b): First trading day of January or July of each year.

(6) In cases where an issue falls under the requirements of the paragraph (2)1, the Exchange shall publish the fact on the disclosure media that the obligation of the submission of liquidity providing quotations of the relevant issue is expired. Provided that, in cases where a member enters into a separate liquidity providing agreement to submit liquidity providing quotations pursuant the paragraph (4) and informs the Exchange before the publication, this shall not apply. [April 17, 2019]

§23. Submission of Liquidity Providing Quotations

(1) “Cases stipulated in the Enforcement Rules” in the proviso to [§18(1)] of the Regulation shall be the cases under any one of the following subparagraphs: (Amended on June 20, 2014; June 26, 2018)

1. Where the issue concerned is an issue scheduled to be delisted;

2. Where the issue's stock price has ascended or descended 30% or more for the last three (3) trading days;
3. Where the issue is designated as an investment precaution issue pursuant to [§5(2)] of the Market Oversight Regulation, or investment warning issue or investment risk issue pursuant to [§5(3)] of the same Regulation; and
4. Other cases where the Exchange deems necessary for market management due to reasons such as sudden changes in quotation situations or trading circumstances, etc.

(2) In cases where a member submits liquidity providing quotations pursuant to [§18(4)] of the Regulation, the quantity of the quotation shall be at least 100 times the trading quantity unit, which must not be less than the quantity which the member which entered into liquidity providing agreement with the listed company concerned reported to the Exchange, and at the same time, shall not be less than the quantity which produces an amount of KRW one (1) million by multiplying the quotation price. Provided that, in cases where the quantity held (including the quantity held via an execution of transactions or borrowing; the same hereinafter in this article and [§24]) by the member is less than 100 times the trading quantity unit or than the quantity that produces an amount of KRW one (1) million by multiplying the quotation price, the member shall submit the offer quotation with all the quantity held. (Amended on September 19, 2014; June 19, 2017; September 20, 2017)

(3) "Cases stipulated in the Enforcement Rules" in the proviso to [§18(5)] of the Regulation shall be, as the cases where the liquidity providing agreement stipulates the content of [§22(1)6 or 7], the cases where the number of shares or the purchase amount of the shares acquired by the member's liquidity providing quotations falls under the requirements of the liquidity providing agreement. In such cases, the member may not submit the purchase liquidity providing quotations. (Amended on June 26, 2018)

§23-2. Methods of Submitting Liquidity Providing Quotations

(1) Pursuant to [§18(6)] of the Regulation, the member shall submit liquidity providing quotations within ten (10) minutes in cases where the issue concerned fails to be executed of any transactions by 14:30 (in cases where the trading hour is changed pursuant to [§4(3)] of the Regulation, one hour before the closing of the session; the same hereinafter). Provided that, in cases where a quotation submitted before 14:30 has not cancelled and is still effective, this shall not apply.

(2) The member shall not cancel the liquidity providing quotation after the quotation is submitted pursuant to the paragraph (1). Provided that, in a case where the transaction of the issue concerned is executed by ten (10) minutes before the closing of the session, this shall

not apply.

(3) In cases where a member submits liquidity providing quotations, the quotations shall not be made at a price which can be executed between the liquidity providing quotations.

(4) Liquidity providing members shall not entrust the submission of the liquidity providing quotations to another member. [May 7, 2021]

[June 19, 2017]

§24. Restriction on Submission of Liquidity Providing Quotations

Pursuant to [§18(6)] of the Regulation, the members shall not submit a liquidity providing quotation in the cases under any one of the following subparagraphs: (Amended on June 19, 2017)

1. Case of falling under the causes under Article 71(2) of the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Act”);
2. Where the quantity held by the member is less than the trading quantity unit pursuant to [§27(1)], the offer quotation;
3. Where the quantity held by the member is 10% or more than the total number of listed shares, the bid quotation;
4. Where it is within three (3) months after an underwriting contract is entered into pursuant to the Article 199 of the Enforcement Decree of the Act.

(2) [Deleted on June 19, 2017]

(3) [Deleted on June 19, 2017]

(4) [Deleted on June 19, 2017]

§25. Base Price

(1) Pursuant to [§19(2)] of the Regulation, the base price shall refer to each of the following subparagraphs: (Amended on July 20, 2015)

1. For the issues other than those noted in subparagraphs 2 through 8, the closing price of the latest trading day. Provided that, if there is no closing price on the latest trading day, it shall be the base price of the latest trading day.

2. For the initially listed issues, it shall be the price noted in each of following items:

(a) Case of stocks that have transferred from the KOSDAQ Market or the KOSPI Market:

The closing price of the latest trading day at the KOSDAQ Market or the KOSPI Market (in cases where there is no closing price on the latest trading day, it shall be the base price of the latest trading day; the same hereinafter in this paragraph).

(b) Cases other than the item (a):

The opening price determined according to [§28] of the Regulation. In such cases, in the event that the opening price has not been determined by the market closing time, the lowest offer quotation price if there are offer quotations at prices lower than the appraisal price specified in [Annex 1] (if there is no appraisal price, it shall be the lowest quotation price) and the highest bid quotation price if there are bid quotations at prices higher than the appraisal price specified in [Annex 1]. In any other cases, the appraisal price shall be the base price of the next trading day.

3. In the case of issues with listing change, the opening price determined according to [§28] of the Regulation. In such cases, the latter part of the subparagraph 2(b) shall apply *mutatis mutandis* thereto.

4. In the case of issue underwent paid-in capital reduction (referring to the issue whose paid-in capital was reduced following the reverse stock split or stock retirement aiming at the minority shareholders; the same hereinafter), the opening price determined according to [§28] of the Regulation. In such cases, the latter part of the subparagraph 2(b) shall apply *mutatis mutandis* thereto.

5. In the case of supplementary listed issues, it shall be each of the following items:

(a) For the issues falling under [§36(1)3], the opening price determined according to [§28] of the Regulation. In such cases, the latter part of the subparagraph 2(b) shall apply *mutatis mutandis* thereto; and

(b) For the supplementary listed new issues other than those issues noted in subparagraph 5(a), the first trading day's base price of already listed stocks whose class is the same as that of new stocks.

6. Of the issues that had ex-dividend or ex-right, those issues falling under any of following items, it shall be the price determined using the formula noted in [Annex 2], and if the formula noted in [Annex 2] cannot be applied, among the formula noted in [Annex 2], the formula applicable to the issue with the most similar specification as the

relevant issue shall apply *mutatis mutandis* thereto:

- (a) The issue that had ex-dividend as a result of a prior notice on the stock dividend for the relevant fiscal year;
- (b) The issue that had ex-dividend following the capital increase without consideration; and
- (c) As an issue that had ex-dividend following the paid-in capital increase, the issue whose closing price on the trading day before the ex-dividend day exceeds the issue price of new stocks.

7. In the case of issue to undergo the stock split or reverse stock split, the price determined by multiplying the closing price on the day immediately before by the split ratio or reverse split ratio.

8. In the case of issues of which the trading resumes after halt or suspension of trading for thirty(30) trading days or longer, the opening price determined pursuant to [§28] of the Regulation, and in such cases, the latter part of the subparagraph2(b)shall apply *mutatis mutandis*.

(2) “Issues with listing change” shall refer to the issue issued by the surviving company (excluding the surviving company after a physical division pursuant to the Article 530-12 of the Commercial Act) after a listed company has been split off or merged after split-off, for which the listing details has been changed pursuant to [§19] of the Listing Regulation.

(3) In cases where the price (the amount less than KRW 1 shall be rounded down) pursuant to paragraphs (1)2(a), (1)6 and (1)7is less than quotation price unit, the price shall be rounded up to the quotation price unit.

(4) Notwithstanding paragraph (1), in the case that falls under any of the following subparagraphs, the base price may be determined differently. In such cases, the Exchange shall make public such fact, calculation method of base price, etc. without delay. (Amended on July 20, 2015)

1. Case of resuming the trade after closing of the market for a lengthy period; and

2. [Deleted on July 20, 2015]

3. Where it is judged that application of base price pursuant to paragraph (1) is clearly problematic because of such reasons as no trading for a lengthy period, material change in right details or sudden change in market condition.

§26. Price Limits

(1) Among the amounts determined pursuant to [§19(2)] of the Regulation, the amount less than the quotation price unit corresponding to the base price range shall be rounded down, but in cases where the relevant amount is less than the lowest amount of quotation price units, it shall be the lowest quotation price unit, and if the amount determined by taking into account the price limit of base price cannot apply the quotation price units noted in [§27], it shall be rounded up to the price to which the quotation price unit can be applied.

(2) “Cases stipulated in the Enforcement Rules” in [§19(4)] of the Regulation shall be the case noted in any of the following subparagraphs:

1. Case of resuming the trade after closing of market for a lengthy period;
2. Case where the market condition changes suddenly; and
3. In addition, case where the Exchange deems it necessary for the market management.

(3) In cases where the price limit is differently determined pursuant to paragraph (2), the Exchange shall make public such fact without delay.

§27. Quotation Units

(1) Trading quantity unit of issues pursuant to [§20] of the Regulation shall be one (1) share. (Amended on September 19, 2014)

(2) Quotation price unit pursuant to [§20] of the Regulation shall be those noted in each of the following subparagraphs: (Amended on December 22, 2022)

1. Issue with the price per share is less than KRW 2,000: KRW 1
2. Issue with the price per share is equal to or higher than KRW 2,000, but less than KRW 5,000: KRW 5
3. Issue with the price per share is equal to or higher than KRW 5,000, but less than KRW 20,000: KRW 10
4. Issue with the price per share is equal to or higher than KRW 20,000, but less than KRW 50,000: KRW 50
5. Issue with the price per share is equal to or higher than KRW 50,000, but less than KRW 200,000: KRW 100
6. Issue with the price per share is equal to or higher than KRW 200,000, but less than KRW 500,000: KRW 500

7. Issue with the price per share is equal to or higher than KRW 500,000: KRW 1,000

§28. Priority of Simultaneous Quotations

(1) Pursuant to the part other than each subparagraph of [§22(3)] of the Regulation, among the simultaneous quotations, the quotations with larger quantities shall have a priority over the quotations with smaller quantities (in the case of quotations with the same quantity, the quotation received earlier by the KONEX computer system has a priority) until the quotation quantity reaches to the quantity under following subparagraph 1. In such case, for the quotations of which quantities exceed the quantity under subparagraph 1, the priority shall be applied in a sequential order from subparagraph 2 in the same manner as stated in the former part. (Amended on December 22, 2022)

1. 100 times the trading unit;
2. 1/2 of the residual quantity. In such cases, the quantity below the trading unit shall be rounded to the trading unit; and
3. The total residual quantity.

(2) [Deleted on December 22, 2022]

(3) The priority of simultaneous quotations pursuant to paragraph (1) shall apply until the time noted in each of the following subparagraphs. In such cases, in cases where, in applying paragraphs (1) and (2) and the proviso to paragraph (3), while the entire quantity has not been executed pursuant to paragraph (2) until the time of determining the closing price of the market and the market was closed with the upper limit price or lower limit price as the closing price, the simultaneous quotations shall apply until the time when the closing price is determined.

1. In the case of a bid quotation at the upper limit price or an offer quotation at the lower limit price pursuant to [§22(3)] of the Regulation, until the entire quantity thereof is executed;
2. In the case of market quotations pursuant to [§22(3)] of the Regulation, until the time such quotation price is regarded as the price other than the upper limit price or the lower limit price; and
3. In the case of the quotation at the highest or lowest price pursuant to [§22(3)] of the Regulation, until the opening price pursuant to [§36(2)] is determined. Provided that, if the price is determined to be a price falling under the lowest quotation price unit under [§27(2)], until the entire quantity of quotations submitted at the relevant price is executed.

(4) At the time of determining the price pursuant to [§23(1)1, 3 & 4] of the Regulation, if

such price is formed as the upper limit price or lower limit price at the time of determining the closing price, the quotations at the price noted in each subparagraph of [§22(3)] of the Regulation that participated in the determination of such price shall be construed as the simultaneous quotation. (Amended on June 20, 2014)

§29. Range of Quotations Participating in Call Auction, etc.

(1) [Deleted on June 20, 2014]

(2) Pursuant to [§23(2)] of the Regulation, the range of quotations participating in the call auction shall be the quotations received during the hours specified in each of the following subparagraphs and shall include the quotations received earlier, but not yet executed, if there are any.: (Amended on June 20, 2014; Amended on December 22, 2022)

1. In the case of determining the price under [§23(1)1] of the Regulation: From the beginning of the quotation receiving hours of the regular session to the market opening;

2. In the case of determining the price under [§23(1)2] of the Regulation: From ten (10) minutes before the market closing time to the market closing time, and if the time of the market reopening or the trading resumption pursuant to paragraph (2)3 is within the last twenty (20) minutes immediately before the market closing time, from such point of time to the market closing time;

3. In the case of determining the price under subparagraphs 3 and 4 of [§23(1)] of the Regulation: For the first ten (10) minutes from the time of reopening of the market or resumption of trading.

(3) Pursuant to the proviso to [§23(1)] of the Regulation, in the case where the price of each subparagraph (excluding the price at the time of market closing under subparagraph 2) of the same paragraph is not determined with the quotations noted in paragraph (2), the price shall be determined by switching to continuous trading specified in [§24] of the Regulation. [December 22, 2022]

(4) “The prices specified in the Enforcement Rule” in the proviso to [§23(5)] of the Regulation shall be the price that is equal to the base price [referring to the appraisal price specified in [Annex 1] in the case of determining the opening price of first trading for an issue using the opening price as the base price (if no appraisal price is available, it shall be the lowest quotation price); the same hereinafter in this paragraph] noted in [§25(1)], and the price that is closest to such base price in cases where there is no such equivalent price.

§30. Range of Quotations Restricted to Participate in Determination of Special Quotation Price

Pursuant to the [§23(7)] of the Regulation, in cases where the trading was halted or suspended during the quotation receiving hours noted in each subparagraph of [§29(2)] and each subparagraph of [§36(2)], and the trading was not resumed by the end of the market closing time of the day, the quotations received during the day shall not be included in the determination of special quotation. (Amended on June 20, 2014; February 28, 2017; December 22, 2022)

§31. Criteria for Expanding the Range of Quotations Participating in Call Auction, etc.

(1) “The criteria specified in the Enforcement Rules” in [§23(8)] of the Regulation shall refer to each of the following criteria: (Amended on June 20, 2014)

1. In the case of [§23(1)1] of the Regulation, the highest of the expected matching prices of the concerned issue, which is published from five (5) minutes before the market opening to the market opening, shall be at least 5/100 higher than the tentative opening price or the lowest of the expected matching prices of the concerned issue shall be at least 5/100 lower than the tentative opening price. Provided that, in the case where the tentative opening price is determined within 1/100 of the base price of the day, such case shall be excluded;

2. In the case of [§23(1)2] of the Regulation, the highest of the expected matching price of the concerned issue, which is published during the period from five (5) minutes before the time scheduled for determination of the closing price to such scheduled time, shall be higher than the tentative closing price at the market closing by 5/100 or more, or the lowest of the expected matching prices of the concerned issue shall be lower than the tentative closing price at the market closing by 5/100 or more. Provided that, in the case where the tentative closing price is determined within 1/100 of the latest price, such case shall be excluded.

(2) “The time specified in the Enforcement Rules” in [§23(8)] of the Regulation shall refer to the time in each of the following subparagraphs: (Amended on June 20, 2014)

1. In the case of [§23(1)1] of the Regulation, the time that the Exchange determines at its discretion, which is within the first five (5) minutes after the market opening; and

2. In the case of [§23(1)2] of the Regulation, the time that the Exchange determines at its discretion, which is within the five (5) minutes after the scheduled market closing time.

(3) In the case where the range of quotations participating in the call auction has been expanded pursuant to [§23(9)] of the Regulation, the range of quotations shall be all the

quotations until the expanded time point.

(4) In the case where the range of quotations participating in the call auction has been extended pursuant to [§23(9)] of the Regulation, the Exchange shall make such fact public without delay.

(5) Extension of the range of quotations participating in the call auction shall not be applied to any one of the following cases:

1. Issues scheduled to be delisted;
2. Cases of determining the first price of the first trading day for the issues using the opening price as the base price; and
3. Additionally, issues for which, in view of the quotation situation, etc., the Exchange deems it necessary for the market management.

§32. [Deleted on June 20, 2014]

§33. Regular Session Block Trade

(1) The regular session block trading pursuant to [§25(1)] of the Regulation shall be applied by inputting the details negotiated by the selling and buying parties, such as the issue, quantity, and price, in accordance with any of the following subparagraphs: (Amended on December 22, 2022)

1. Method in which details of negotiation are notified to the member system and KONEX system via the electronic network for block trading, etc. (referring to the electronic system operated by the Exchange for the purpose of notifying and confirming the agreement or negotiated details of block trading and basket trading; the same hereinafter) and the member places the quotations in accordance with the negotiated details; or
2. Method in which the member places the quotations by inputting details of negotiation to the KONEX system via the member system or the member securities terminal.

(2) In cases when the request pursuant to the paragraph (1) is made, either the offer or the bid quotation shall be a quotation from a single member and the quotation quantity shall not be less than the quantity that produces an amount of KRW 50 million by multiplying the quotation quantity by the quotation price. In such cases, for a transaction between foreign investors pursuant to [§6-7(1)6] of the Financial Investment Business Regulation of the FSC, both the buying and selling customers shall be foreigners. (Amended on October 30, 2014)

(3) Notwithstanding [§27(2)], the quotation price unit for regular session block trade shall be KRW 1. (Amended on September 19, 2014)

(4) The details, which have been negotiated between the buying and selling parties pursuant to paragraph (1), may be changed only when there has been an agreement between the trading parties before placing quotations according to such details.

(5) Notwithstanding paragraph (1), when it has been concluded that inputting the negotiated details of regular session block trade is difficult due to the failure to connect to the electronic network for block trading, etc., the member shall notify to the Exchange the negotiated details via electronic mail, etc. and place the quotations according to the details notified.

(6) Notwithstanding paragraphs (1) and (5), when, due to the difficulties in connecting to the electronic network for block trading, etc., it is not possible to notify the negotiated details to the KONEX system, and cases of the first trading day (limited to the time before the determination of the first price pursuant to [§28] of the Regulation) for the issues using the opening price as the base price, the regular session block trade shall not be executed. (Amended on March 19, 2009)

§34. Off-hours Closing Price Trade

(1) [Deleted on September 19, 2014]

(2) Pursuant to [§26(2)] of the Regulation, the priority of quotations for off-hours closing price trade shall be in accordance with the time priority where a quotation received earlier has priority over a quotation received later.

(3)[Deleted on October 30, 2014]

§34-2. Off-Hours Block Trade

(1) The off-hours block trade pursuant to [§26-2(1)] of the Regulation shall be applied by inputting the details of negotiation, such as the name of issue, quantity and price agreed between the buying and selling parties, in accordance with any of each item of [§33(1)] during the quotation receiving hours for off-hours sessions. In such cases, in the case of receiving an order from a listed company that intends to purchase or sell its treasury stocks by way of off-hours block trading after obtaining the approval of Financial Services Commission pursuant to [§14(4)2] of the Regulation, the member shall submit the material proving such fact before placing the quotation. (Amended on December 22, 2022)

(2) The provisions of [§33(2) through (6)] shall apply *mutatis mutandis* to off-hours block trade.

[October 30, 2014]

§34-3. Exceptions to Application of Off-hours Sessions

The Exchange may not execute the off-hours closing price trade and off-hours block trade pursuant to [§26] and [§26-2] of the Regulation in the cases falling under any of the following subparagraphs:

1. Case where the trading hours of the regular session is changed pursuant to [§3(1)1];
2. Pre-hours sessions in cases where any of the following situations occurs:
 - (a) The day when trading of the issue suspended from trading has been resumed;
 - (b) The first trading day for the determination of opening price of issues falling under [§25(1)2(a)] and [§25(1)5(b)] or issues using the opening price as the base price;
 - (c) The first trading day of issues scheduled to be delisted; and
 - (d) The first trading day of an issue for which the base price is determined differently pursuant to [§25(4)].
3. In addition, the cases where the Exchange deems it necessary for the market management.

[October 30, 2014]

§35. One-sided Auction

(1) “The method stipulated in the Enforcement Rules” in [§27(6)] of the Regulation shall refer to the submission of the request of one-sided auction in accordance with [Annex: Form No. 4] from the market closing to 17:30 of the immediately preceding trading day and previous three (3) trading day. (Amended on June 21, 2016; August 5, 2020)

(2) Pursuant to [§27(7)] of the Regulation, the request for one-sided auction shall be made, as an offer quotation (excluding a quotation for short-sale) by a single member, for an offer quotation of which quantity is 0.5% or more of the total number of listed shares and at same time, not less than the quantity which produces an amount of KRW 25 million by multiplying the basis price of the day. (Amended on August 5, 2020)

(3) The request for one-sided auction shall be limited to one (1) case per day per issue.

(4) [Deleted on September 19, 2014]

(5) In cases that fall under any of subparagraph below, the one-sided auction shall not be conducted:

1. Case where the trading hours of the regular session is changed pursuant to [§3(1)1];
2. The day when trading of the issue suspended from trading has been resumed;
3. The first trading day of issues falling under [§25(1)2(a)and5(b)] or issues using the opening price as the base price;
4. Issues scheduled to be delisted;
5. The first trading day of an issue for which the base price is determined differently pursuant to [§25(4)];
6. Issues that had ex-dividends, ex-rights, and stock split or reverse stock split (limited to the case where the base price is changed); and
7. In addition, the cases where the Exchange deems it necessary for the market management.

§36. Methods of Determining First Price of Initially Listed Issues, etc.

(1) “Issues stipulated in the Enforcement Rules” in [§28] of the Regulation shall refer to the issues falling under any of the following subparagraphs: (Amended on July 20, 2015)

1. Issues with listing change;
2. Issues whose paid-in capital has been reduced;
3. Issues of different classes of stock to be listed for the first time after initial listing of common stocks and issues of different classes of stock to be listed as the issue whose right details are different from those of already listed different classes of stock; and
4. Issues of which the trading resumes after halt or suspension of trading for thirty (30) trading days or longer.

(2) Pursuant to [§28] of the Regulation, the method of determining the first price on the first trading day shall be the call auction noted in [§23] of the Regulation.

(3) Pursuant to [§28] of the Regulation, the range of quotations participating in the determination of the first price on the first trading day shall be the quotations received from the opening time of quotation receiving hours for the regular session to the opening time of the regular session. Provided that, in cases where the price is not determined with the quotations noted in the main clause, the price shall be determined by switching to continuous trading noted in [§24] of the Regulation. (Amended on December 22, 2022)

(4) In the case of issue falling under any of the following subparagraphs, the quotations pursuant to paragraph (3) shall be the quotations received at the prices between the lowest quotation price and the highest quotation price specified in [Annex 1]:

1. Initially listed issues (excluding the issues falling under [§25(1)2a]); and
2. Issues falling under any of subparagraphs of paragraph (1)

§36-2. Trade Execution Methods of Issues Scheduled to be Delisted, etc.

(1) “Methods stipulated in the Enforcement Rules” in [§28-2] of the Regulation shall refer to the trade execution by way of call auction pursuant to [§23] of the Regulation. In such cases, [§23(4) through (6)] of the Regulation shall apply *mutatis mutandis* to the issues scheduled to be delisted and [§23(3) through (9)] of the Regulation shall apply *mutatis mutandis* to the issues falling under [§28-2/4] of the Regulation (hereinafter referred to as “call auction issues with abnormally soaring price”). (Amended on February 28, 2017)

(2) The range of quotations to be included in determining the price noted in paragraph (1) shall be the quotations received by the time after any of the following points of time and the unexecuted quotations that were received earlier, if there are any.

1. Cases where the opening price is to be determined: From the opening of quotation receiving hour for the regular session to the time of the market opening;
2. Cases where determining the price at each time when 30-minute has passed from the market opening: From the time of market opening to every time when 30-minute has passed (referring to “the unit trade execution time”; the same hereinafter in this Article) since the market opening. Provided that, in the case of determining the price noted in [§23(1)3] of the Regulation, it shall be each time when 30-minute has passed after the time of trade resumption, but if the trade resumption time is during the ten (10) minutes immediately before the market closing time, such trade resumption time shall not be included. In such cases, when determining the price noted in [§23(1)4] of the Regulation, if the period for receiving quotations from the trade resumption time to the nearest unit trade execution time is less than ten (10) minutes, it shall be until the next unit trade execution time; and

3. Cases where determining the price of the market closing: From the latest unit trade execution time among the unit trade execution times pursuant to subparagraph 2 to the market closing time.

(3) Notwithstanding paragraphs (1) and (2), the provisions of [§25], [§26] and [§26-2] of the Regulation shall apply to the trading in the regular session other than the call auction. Provided that [§25(2)] and [§26-2(2)] of the Regulation shall not apply to the issues scheduled to be delisted. (Amended on February 28, 2017)

(4) The periods for changing the trade execution methods of the call auction issues with abnormally soaring prices shall be as follows. Provided that, in cases where it is deemed necessary for market management, the Exchange may determine such periods differently: [February 28, 2017]

1. Case of falling under [§7-2(1)1] of the Enforcement Rules of the Market Oversight Regulation: Three (3) trading days from the day following the date of request; and

2. Case of falling under [§7-2(1)2] of the Enforcement Rules of the Market Oversight Regulation: From the day following the date of designation as investment risk issue pursuant to [§3-4] of the Enforcement Rules of the Market Oversight Regulation to the previous day of the date of release therefrom.

(5) Pursuant to the proviso to the part other than subparagraphs of [§28-2] of the Regulation, In cases where it is deemed necessary for investor protection and market stability due to sudden changes in the market situation, etc., the following additional measures may be taken: [February 28, 2017]

1. Change of the price limits pursuant to [§19(2)] of the Regulation; and

2. Other measures that are deemed necessary for market management.

(6) When making changes in the trade execution methods pursuant to paragraph (4) or taking the additional measures pursuant to paragraph (5), the Exchange shall officially announce such fact immediately and notify it to the members.[February 28, 2017]

[June 20, 2014]

§37. Details of Trade Execution

(1) In the trade details referred to in [§29(1)] of the Regulation, each of the following subparagraphs shall be recorded:

1. Classification of sale or purchase;
2. Name of issue;
3. Price and quantity;
4. Classification of brokering or dealing; and
5. Name or ID number of the member.

(2) Pursuant to [§29(2)] of the Regulation, the Exchange shall notify the designated clearing members of the following details of the trades executed under the names of non-clearing members after the market closing. Provided that the details noted in paragraph (2)5 shall be notified to the designated clearing member only when the prior consent of non-clearing member has been obtained.

1. ID number of non-clearing member;
2. Issue name;
3. Quantities sold, and quantities purchased;
4. Sale amount and purchase amount; and
5. In addition, any other details that are deemed necessary by the Exchange.

§38. Suspension of Trade and Resumption of Trade Thereafter

(1) The period of trade suspension of the issue of which the trading has been suspended pursuant to [§30(1)] of the Regulation shall be any one of the followings: (Amended on February 28, 2017)

1. For one (1) day, in the case of falling under [§30(1)1] of the Regulation;
2. Until the time when the relevant cause of trade suspension is deemed to have been resolved for cases falling under any of subparagraphs 2 through 4 and 7 of [§30(1)] of the Regulation; and
3. For the period requested for cases falling under [§30(1)5] of the Regulation. Provided that, in cases where the Exchange deems it necessary for market management, the period specified separately.

(2) The calculation of period noted in paragraphs (1) and (2) shall be based on the trading day (including the day when trading is suspended) pursuant to [§4(2)] of the Regulation. (Amended on December 22, 2022)

(3) Pursuant to the proviso to the part other than the subparagraphs of [§30(1)] of the Regulation, in cases where it is deemed necessary for investor protection and market stability due to sudden changes in the market situation, etc., the Exchange may take the following additional measures from the date of release from the trade suspension:[February 28, 2017]

1. Change to the trade execution methods of the call auction issues with abnormally soaring price noted in paragraphs (1) through (3) of [§36-2];
2. Change of the price limits specified in [§19(2)] of the Regulation;
3. Other measures that are deemed necessary for market management.

(4) When taking the measure of trade suspension noted in of [§30(1)5] of the Regulation or the additional measures noted in paragraph (3), the Exchange shall officially announce such fact immediately and notify it to the members. [February 28, 2017]

§39. Publication of Suspension of Trading and Resumption Thereafter, etc.

(1) In the case of suspending or resuming the trading pursuant to [§30] of the Regulation, the Exchange shall make such fact public without delay. (Amended on February 28, 2014)

(2) [Deleted on February 28, 2014]

§40. Measures in Case of Computer System Failures or Influx of Excessive Quotations

(1) Pursuant to [§31] of the Regulation, in cases where a computer system failure has been confirmed, the Exchange may take any of the following measures: (Amended on February 28, 2014; January 15, 2026)

1. Cancellation of quotations that caused computer system failure; or [January 15, 2026]
2. Suspension of receiving quotations (referring to the suspension of receiving new quotations, correction quotations, and cancellation quotations; the same hereinafter) or halt of trading. In this case, if the restoration of details of quotations is impossible or it is necessary to promptly recover from a computer system failure, quotations that have not been concluded by the time of suspension of receiving quotations or halt of trading may be cancelled. [January 15, 2026]

(2) Pursuant to [§31] of the Regulation, in cases where there is a possibility of a computer system failure due to excessive influx of quotations, the Exchange may take any of the following measures: [January 15, 2026]

1. Suspension of receiving quotations or halt of trading. In this case, if the restoration of details of quotations is impossible or there is a risk of computer system failure during restoration, quotations that have not been concluded by the time of suspension of receiving quotations or halt of trading may be cancelled; or [January 15, 2026]

2. Closing of trading of the day. [January 15, 2026]

(3) When the Exchange determines that the computer system is back to normal operation and the risk of computer system failure due to excessive influx of quotations has been eliminated following the suspension of receiving quotations or the halt of trading under paragraph (1)2 or paragraph (2)1, the receiving of quotations or trading shall resume at a time determined by the Exchange. In such cases, when the recovery of quotations and trade details, etc. is not possible due to inevitable causes such as natural disaster and other similar reason, the recovery may proceed except for such areas. [February 28, 2014] (Amended on January 15, 2026). [February 28, 2014] (Amended on January 15, 2026)

(4) In cases where trading is resumed pursuant to paragraph (3), the first price shall be determined by way of the call auction under [§23] of the Regulation. In such cases, the range of quotations participating in the determination of such price shall be decided by the Exchange at each case. (Amended on February 28, 2014; January 15, 2026)

(5) When determining the range of quotations participating in the determination of the relevant price pursuant to the latter part of paragraph (4), the Exchange shall make public such fact without delay. (Amended on February 28, 2014; January 15, 2026)

(6) In addition to paragraphs (1) through (5), method of trade execution in the event of a computer system failure or excessive influx of quotations shall be in accordance with the decision made by the Exchange for each case. (Amended on February 28, 2014; January 15, 2026)

§41. Correction of Transaction Errors

Transaction errors noted in [§32] of the Regulation shall be classified into the transaction errors made by the Exchange and the transaction errors made by the member, and the extent of correction thereof shall be each of the followings: (Amended on December 22, 2022)

1. Errors made by the Exchange: Transactions where the details are not consistent with the quotation details, which has occurred due to the KONEX system failure, a failure in the operation of a program, or error made in the course of inputting the trade details; and
2. Errors made by the members: Transactions where the details are not consistent with the details of orders, which has occurred because the details of quotation received by

KONEX computer system were not the same as the order details due to the error made in the courses of processing the orders received from customers, inputting such order details into the member's system or transmitting the quotation details into the KONEX computer system. In such case, if there is an error of an overseas affiliate, etc. of a member in the course of the member's receiving of customers' orders of the overseas affiliates, etc., this error is considered as an error of the member.

§42. Methods of Correcting Transaction Errors

(1) The Exchange shall correct the transaction errors according to each of the following methods:

1. For transaction errors made by the Exchange:

In cases where it is possible to correct an error, the Exchange shall make the correction according to the original quotation details, and in other cases, the error shall be corrected after having the member take over the error transaction as a proprietary account transaction.

2. For transaction errors made by members:

In the case of errors relating to the issue, quantity, price or sell/buy classification, such errors are corrected after the relevant member take over the error transaction as a proprietary account transaction, and in cases of the errors relating to classification of customer account transaction and proprietary account transaction resulted from the failure in the operation of a program of the member system, the correction shall be made as required.

(2) When taking over an error transaction as a proprietary account transaction pursuant to paragraph (1), in the case of a member who have not obtained the permit for investment dealing business in Article 6(1)1 of the Act, it shall be accomplished by way of such member's entrusting the trade to another member as a proprietary account transaction.

(3) In the case of transaction errors made by a member, the correction shall be made only in cases where the relevant member has submitted a request for correction of transaction errors according to [Annex: Form No.5] by 15:30 on the trading day after the transaction error has occurred. (Amended on June 21, 2016)

(4) The provisions of [§19(4)] shall apply *mutatis mutandis* to the case of correcting the transaction error made by a member.

§43. Agreement for Correction of Transaction Errors

When correcting a transaction error made by the Exchange, in order to handle the error transaction as a proprietary account transaction of a member, the Exchange shall enter into an agreement for the correction of transaction error with the relevant member in accordance with [Annex: Form No.6].

§44. Settlement of Profits and Losses

(1) In cases where transaction error is corrected by letting the relevant members to take over the relevant transaction as a proprietary account transaction, the Exchange shall settle any profit or loss accrued in the course of error correction.

(2) The securities transaction tax, all commissions, and amount equivalent to membership fees relating to the correction of transaction errors shall be reckoned as a loss when settling profits and losses pursuant to paragraph (1).

(3) The Exchange shall settle all profits and losses without delay, upon receiving the bills for settlement of transaction errors in accordance with the agreement for correction of transaction errors. Provided that, from among the transaction errors made by the Exchange, those due to the negligence of the company operating the KONEX computer system shall be settled separately.

CHAPTER IV. [Deleted on February 27, 2025]

§45. [Deleted on February 27, 2025]

§46. [Deleted on February 27, 2025]

§46-2. [Deleted on February 27, 2025]

[September 19, 2017]

§46-3. [Deleted on February 27, 2025]

[September 19, 2017]

§46-4. [Deleted on February 27, 2025]

[September 19, 2017]

§46-5. [Deleted on February 27, 2025]

(Wholly amended on November 27, 2019)

§46-6. [Deleted on February 27, 2025]

[September 19, 2017]

§46-7. [Deleted on February 27, 2025]

[September 19, 2017]

§46-8. [Deleted on February 27, 2025]

[September 19, 2017]

§46-9. [Deleted on February 27, 2025]

[September 19, 2017]

§46-10. [Deleted on February 27, 2025]

[September 19, 2017]

§46-11. [Deleted on February 27, 2025]

[September 19, 2017]

§46-12. [Deleted on February 27, 2025]

[September 19, 2017]

§46-13. [Deleted on February 27, 2025]

[November 27, 2019]

§46-14. [Deleted on February 27, 2025]

[November 27, 2019]

§46-15. [Deleted on February 27, 2025]

[November 27, 2019]

§47. [Deleted on February 27, 2025]

§48. [Deleted on February 27, 2025]

§49. [Deleted on February 27, 2025]

§50. [Deleted on February 27, 2025]

§51. [Deleted on February 27, 2025]

§52. [Deleted on February 27, 2025]

§53. [Deleted on February 27, 2025]

§54. [Deleted on February 27, 2025]

§55. [Deleted on February 27, 2025]

§56. [Deleted on February 27, 2025]

§57. [Deleted on February 27, 2025]

§58. [Deleted on February 27, 2025]

§59. [Deleted on February 27, 2025]

§60. [Deleted on February 27, 2025]

§61. [Deleted on February 27, 2025]

§62. [Deleted on February 27, 2025]

§63. [Deleted on February 27, 2025]

§63-2. [Deleted on February 27, 2025]

[November 13, 2014]

CHAPTER V. RECEIVING OF TRADING ENTRUSTMENT

§64. Order Types

The orders under [§51] of the Regulation shall be classified into each of the following types:

1. Limit order: An order specifying the issue, quantity, and price;
2. Market order: An order specifying the issue and quantity, but not the price;

§65. Opening of Accounts, etc.

(1) “Facts stipulated in the Enforcement Rules” in [§51(2)] of the Regulation shall mean the matters in each of the followings: (Amended on August 8, 2023; November 23, 2023)

1. Name, resident registration number, business registration number, taxpayer number,

or in the case of foreigners, the number identifying the real name such as the number of foreigner identification means (in the case of foreigners treated as citizens, it refers to the passport number, business registration number, or taxpayer number;

2. Address and telephone number;

3. Password;

4. In the case of non-member securities companies, type of account (customer account or own account);

5. In the case of foreigners,

(a) Nationality or permanent residency

(b) Residence status in Korea

(c) [Deleted on November 23, 2023]

6. Investor classification code. Provided that, in the case of trading linked to the CFD, it is based on the investor who concluded the CFD; and

7. In cases where a proxy has been designated, the name or title, the number such as the resident registration number or business registration number, which confirms the real name, the relationship with the customer, address, and the power of such proxy.

(2) Investor classification code pursuant to paragraph (1)6 shall be each of the followings:

1. Financial investment companies: 1000

2. Insurance companies: 2000

3. Collective investment vehicle, etc.

(a) Collective investment vehicle other than those noted in paragraph (2)3(b): 3000

(b) Privately placed funds: 3100

4. Banks (the collective investment assets of the collective investment schemes shall be classified under paragraph (3)): 4000

5. Other financial institutions: 5000

6. Pensions, funds, and mutual-aid cooperatives: 6000

7. The Government, local governments, international organizations and public service institutions: 7000

8. Corporations other than those noted in subparagraphs 1 through 7: 7100

9. Individuals: 8000

(3) In cases where a customer falls under an investor classification code other than those mentioned in paragraph (2) at the time of opening of a trading account, the member shall verify such fact immediately, and maintain a written record of such fact.

§65-2. Terms and Conditions for High-speed Algorithmic Trading

Pursuant to [§52(1)9(b)] of the Regulation, in case where a customer of a member is a person who is required to registered as a high-speed algorithmic trader, the member shall include each of the following matters in the terms and conditions:

1. The customer shall identify and systemically manage risks that may arise from the high-speed algorithmic trading;
2. The customer shall prepare the procedures for developing and changing the electronic systems including an ordering system, etc. and the program related to the high-speed algorithmic trading, and shall comply with them when operating;
3. The customer shall cooperate in fulfilling the member's obligation to manage high-speed algorithmic traders, including checking the electronic system such as the ordering system, etc.;
4. The customer shall prepare an appropriate control and response system to effectively cope with accidents or system failures related to the high-speed algorithmic trading and to minimize damage therefrom;
5. The customer shall maintain a mutual contact system with members to respond promptly in the event of an emergency, such as errors in the electronic system such as the ordering system, etc.; and
6. In the case where the customer who has conducted the high-speed algorithmic trading through multiple members pursuant to [§82-6] is suspended to submit the orders for high-speed algorithmic trading pursuant to [§70-3(5)], he/she shall notify all other members of the relevant fact and reason.

[December 22, 2022]

§66. Notification Deadline of Agreement for Receiving of Trading Entrustment

“Period stipulated in the Enforcement Rules” mentioned in [§52(3)] of the Regulation shall be five (5) trading days from the effective day of the relevant agreement.

§67. Matters to be Recorded When Receiving Entrustment of Orders

“Information stipulated in the Enforcement Rules” in [§56] of the Regulation shall mean the matters in each of the followings: (Amended on October 30, 2014; December 22, 2022; August 8, 2023)

1. Issue name;
2. In the case of handling an order, each of following classifications:
 - (a) New order;
 - (b) Correction of order already submitted; and
 - (c) Cancellation of order already submitted.
3. Classification of buy and sell;
4. In the case of offer order, each of the following classifications;
 - (a) Order to carry out a sale falling under any subparagraph of [§11(1)] of the Regulation;
 - (b) Order to conduct a covered short sale pursuant to [§11(2)] of the Regulation; and
 - (c) Any other offer orders.
5. Quantity;
6. Price. Provided that this provision shall not apply to the market order, order participating in off-hours closing price trade, and case of canceling the order already submitted.
7. Time of order receipt;
8. In the case of order types noted in [§64(1) and (2)], such classification;

9. Each of following classifications;

(a) In the case of order submitted for trade other than those noted in subparagraphs 9(b) and (c), following classifications:

- (i) Regular session; and
- (ii) After-hours session (for the off-hours closing price trade)

(b) In the case of order for block trading, following classifications:

- (i) Pre-hours session;
- (ii) Regular session; and
- (iii) After-hours session.

(c) In the case of order submitted for one-sided auction, such classification.

10. In the case of order for trading the treasury stocks, each of the following classifications:

- (a) Trade conducted for the purpose of purchasing the stocks to be distributed subsequent to the exercise of stock option;
- (b) Trade subsequent to entering into the money trust contract for treasury stocks; and
- (c) Trade conducted for the purpose other than those noted in subparagraphs 10(a) and 10(b).

11. In the case of trading method of treasury stocks, each of the following classifications:

- (a) The methods subject to [§26-2(3)] of the Regulation;
- (b) The methods subject to both [§14(4)] and [§26-2(2)] of the Regulation; and
- (c) The methods other than those in subparagraphs 11(a) and 11(b).

12. In the case of an order related to arbitrage trading, each of the following classifications:

- (a) Non-arbitrage trading, while it is arbitrage trading of collective investment securities of ETF collective investment vehicle;
- (b) Trade that is not a non-arbitrage trading, while it is arbitrage trading of collective investment securities of ETF collective investment vehicle; and

(c) DR arbitrage trading; and

13. In the case of an order for trading a basket of stocks, each of the following classifications:

(a) Non-arbitrage trading;

(b) Trading a basket of stocks for the purpose of creating collective investment securities of ETF collective investment vehicles, which is non-arbitrage trading; and

(c) Trading a basket of stocks for the purpose of creating collective investment securities of ETF collective investment vehicles, which is not non-arbitrage trading.

14. Classification for cash transaction or margin transaction;

14-2. In the case of trading linked to the CFD, such classification;

15. In cases where the conditions such as the time of quotation are affixed on the order, such conditions;

16. In cases where the validity of order is specified, such validity period; and

17. Following condition in the case of limit order: Self-match prevention condition pursuant to [§11-2].

18. In cases where a customer receives the short selling registration number, the short selling registration number. [March 26, 2025]

§68. Methods of Receiving Order

(1) When a member receives an order through the methods pursuant to [§57(1)1] of the Regulation, it shall be in accordance with the order slip that the customer filled out the entrustment details pursuant to [§67] and signed or imprinted his/her seal thereon.

(2) When a member receives an order through the methods pursuant to [§57(1)2] of the Regulation, the employee of the member company who receives the order shall confirm that the person who place the order is the customer himself or herself and prepare the order slip in accordance with any of the following methods. In such cases, the member may use such method as the tape-recording to prove the details of order.

1. The employee receiving the order shall write down the details of order specified in [§67] by hand on the order slip and sign or imprint his/her seal thereon; and

2. The employee receiving the order shall input the details of order specified in [§67] into the member computer system and sign or affix his/her personal seal on the printed copy of the order slip. In such cases, this provision shall not apply to the case where the details of orders, etc. are electronically kept after putting signature using electronic device (including the electronic signature and any other means equivalent to the electronic signature).

(3) When a member receives an order through the method noted in [§57(1)3] of the Regulation, such order shall be submitted using a system satisfying each of the following requirements, and such member shall enter into a prior agreement with customers for the entrustment through the electronic communication means: (Amended on December 18, 2013; December 22, 2022)

1. The member shall be able to confirm the system user;
2. The member shall be able to confirm any of the following information that identifies the order input device of customer:
 - (a) IP & MAC address, in the case of using home trading system and internet;
 - (b) Mobile phone number and the unique ID number of a device, in the case of using personal mobile phone or wireless internet phone;
 - (c) Unique ID number of a device, in the case of using exclusive stock order input device; and
 - (d) Other information through which the customer's order input device can be identified.
3. The customer shall be able to verify the details of order at the time of placing the orders;
4. In cases where a member refuses to accept an entrustment of customer, the record of refusal shall be kept;
- 4-2. In the case where there is a request from a customer, the member shall be able to submit the cancellation quotations at once according to the request without delay;
5. The customer shall be able to inquire about the details of order and trade execution;
6. The system shall be able to prevent the use by other than the authorized users; and
7. The member shall be able to record and maintain the records of data processing, including the details of the orders and execution thereafter.

§69. Publication of Order Placing Methods, etc.

(1) In cases where a member establishes the details about order placing method, etc. pursuant to [§58(1)] of the Regulation, the matters in the following subparagraphs shall be included: (Amended on February 28, 2014; December 22, 2022)

1. With regard to method of accepting the order entrustment, the matters noted in each of the following items:

- (a) Originator of order;
- (b) Location where the order originated;
- (c) Order input device;
- (d) Order transmitting device; and
- (e) Order receiving device.

2. With regard to order processing method, the matters noted in each of the following items:

(a) Verification method of order suitability, etc. according to [§10(3)] of the Regulation and physical location of system used for verification; and

(b) Session type specified in the Guideline for Connection, etc. to Member System.

3. Conditions of use and user fees per method according to subparagraphs 1 and 2.

4. In addition, the matters that the member deems necessary to explain the differences between the ordering methods.

(2) When intending to introduce or change the order placing method, etc. pursuant to [§58(4)] of the Regulation, the member shall make public such details through the medium such as the member's website and notify the details to the Exchange without delay.

§70. Processing of Order

(1) "Manners stipulated in the Enforcement Rules" in [§60(1)] of the Regulation shall refer to the receipt of orders in a sequential order while recording the exact time of receipt on the order slip or in the system in the case of receiving orders from a customer (including the correction orders and cancellation orders; the same hereinafter) according to the methods noted in each subparagraph of [§57(1)] of the Regulation and the input of order details in a sequence of receipt into the order input device of the member (hereinafter referred to as "the order input device") promptly and accurately in the case of orders received through the

method noted in [§57(1)1 & 2] of the Regulation.

(2) When the order input device malfunctions, a member may process the orders using the emergency terminals.

(3) Pursuant to [§60(4)] of the Regulation, the members shall, in any of the following cases, post a notice about investment risks using the electronic communication means to inform the customers of such facts or urge the customer to take caution:

1. Where posting of notice is deemed necessary for the protection of investors or maintenance of orderliness in the market because there is a sign of abnormal trading or abnormality in trading (referred to as "the signs of abnormal trading, etc." hereinafter in this Article) of specific issues; and

2. Where the Exchange requests the members to send a notice of investment risk to the customers or urge the customer to take caution, because the signs of abnormal trading, etc. mentioned in paragraph (1) have been observed.

§71. Handling of Transaction Errors

In cases where an error has occurred in the course of processing the order placed by the customer or inputting such order or quotation into the member system or KONEX system, the member shall immediately take an action that is appropriate for the relevant order. In such cases, the member may sell or purchase the relevant securities.

§72. Recording and Retaining Details of Error Corrections

In cases where a member corrects the details of an order or transaction, the member shall record and retain the correction details and reasons in the correction book.

§73. Reporting of Good Faith Deposit

(1) "In accordance with the stipulation in the Enforcement Rules" in [§61(3)] of the Regulation shall be a report within five (5) trading days from the effective date. (Amended on December 18, 2013)

(2) "Case stipulated in the Enforcement Rules" in [§61(6)2] of the Regulation shall mean the case where the number of delivery failure of sold securities is five (5) times or more by the settlement date for the last six (6) months and the case where the total shortage of settlement amount exceeds KRW one(1) billion. [December 18, 2013]

§73-2. Separate Management of Good Faith Deposits and Restrictions on Use as Member Margins

(1) With regard to “shall manage the good deposits separately from their own properties” in [§61(10)] of the Regulation, members shall enter the cash good faith deposits separately from the customer deposits in accounting.

(2) With regard to “shall not use the good faith deposits as member margins” in [§61(10)] of the Regulation, members shall maintain liquid assets over the liquid liabilities under [Annex 10] and [Attachment 1] of the Detailed Regulations of the Regulations on Financial Investment Business.

(3) [Deleted on January 15, 2026]

[September 19, 2017]

§74. Notice of Investor Precautions

(Amended on April 28, 2022)

(1) “Persons provided by the Enforcement Rules” in the proviso to [§62] of the Regulation shall mean the person that falls under any of the following subparagraphs: (Amended on June 20, 2014; July 11, 2014; September 19, 2014; June 4, 2015; November 10, 2016; May 29, 2017; August 5, 2020)

1. Collective investment vehicle established or created pursuant to an act that falls under any of the subparagraphs of the Article 6(1) of the Enforcement Decree of the Act;

2. Small and medium enterprise startup investment company pursuant to the Article 2/10 of the Act on the Facilitation of Venture Investment (hereinafter referred to as “the Venture Investment Act”);

3. Individual investment cooperatives (hereinafter referred to as “the individual investment cooperative”) pursuant to the Article 2/8 of the Act on the Facilitation of Venture Investment;

4. Persons who fall under the Article 2-2(1)2a⑧ of the Act on Special Measures for Promotion of Venture Businesses (hereinafter referred to as “the professional angel investor”);

5. Discretionary investment assets that fall under the high risk high return investment trust pursuant to the Article 91-15(1) of the Restriction of Special Taxation Act;

6. Persons who make entrustment through a customized asset management account

(hereinafter referred to as “the wrap account”) pursuant to [§4-77/7] of the Regulation on Financial Investment Business;

7. Employee stock ownership associations pursuant to the Article 2/4 of the Framework Act on Labor Welfare; and

8. Startup strategists pursuant to the Article 2/9 of the Venture Investment Act.

(2) Investors who fall under any of the subparagraphs of the paragraph (1) (excluding those who fall under subparagraphs 5 and 6 of the same paragraph) shall submit documents which can prove the qualifications in cases where they intend to participate in the trading in the market for the first time using existing accounts which has been open already or opening a new trading account. (Amended on July 11, 2014; May 29, 2017)

(3) Individual investment cooperatives pursuant to the paragraph (1)3 or professional angel investors pursuant to the paragraph (1)4 shall be exempted of the notice and confirmation of investor precautions pursuant to [§62] of the Regulation for two (2) years from the date of the account opening or confirming the qualification (the date when the qualification is confirmed pursuant to the paragraph (2); the same hereinafter in this paragraph). Provided that the exemptions of the notice and confirmation of investor precautions shall continue until the maturity or effective date if the maturity or effective date is within two (2) years from the date of account opening or confirmation as the individual investment cooperative or professional angel investor. (Amended on July 11, 2014; May 29, 2017; April 28, 2022)

(4) [Deleted on June 4, 2015]

(5) “The matters stipulated in the Enforcement Rules” in the main sentence of [§62] of the Regulation shall refer to the following matters: [April 28, 2022]

1. Summary of the KONEX market;

2. Higher investment risk compared with the KOSPI and the KOSDAQ markets; and

3. In addition, the matters necessary for the protection of investors.

§74-2. [Deleted on April 28, 2022]

§75. Exclusion from Designation of Substitute Securities

“Issues provided in the Enforcement Rules” in the proviso to [§63(2)1] of the Regulation shall refer to the issues that fall under any one of the following subparagraphs: (Amended on June 19, 2017)

1. The issues whose trading has been suspended because of filing the application for delisting pursuant to [§31] of the Listing Regulation;
2. The issues scheduled to be delisted;
3. The issues that have been designated as the issues of investment risk pursuant to [§5-3] of the Market Oversight Regulation; and
4. The issue of which the trading has been suspended because of falling under the causes noted in [§27(1)] of the Listing Regulation. Provided that those issues which are suspended of trading pursuant to [§23(3)8] of the Enforcement Rules of the KONEX Market Listing Regulation are excluded.

§75-2. [Deleted on February 27, 2025]

[September 19, 2017]

§76. [Deleted on February 27, 2025]

§77. [Deleted on February 27, 2025]

§77-2. [Deleted on February 27, 2025]

[September19, 2017]

§77-3. [Deleted on February 27, 2025]

[September19, 2017]

§78. [Deleted on February 27, 2025]

§79. [Deleted on February 27, 2025]

§79-2. [Deleted on April 28, 2022]

§80. [Deleted on February 27, 2025]

§81. Notification of Brokerage Fee Rate

“The period stipulated in the Enforcement Rules” noted in [§69(2)] of the Regulation shall mean the notification within five (5) trading days from the effective date of the guideline for collection of brokerage fees.

CHAPTER VI. MARKET MANAGEMENT

§82. Publication of Expected Matching Prices, etc. during Call Auctions

(1) Pursuant to [§70(1)5] of the Regulation, the Exchange shall publish the details of quotation information specified in each of the following subparagraphs:

1. During the quotation receiving hours for call auction, expected matching price and expected matching quantity and three (3) consecutive best quotation prices and quotation quantities at such prices per bid and ask, respectively; and
2. During the quotation receiving hours for continuous auction, ten (10) consecutive best quotation prices and quotation quantities at such prices and the aggregate quantities of such quotations per bid and offer, respectively.

(2) The expected matching prices, etc. that are made public pursuant to paragraph (1) shall be calculated according to each of the following methods:

1. Expected matching price and expected matching quantity: The price and quantity of quotations that are expected to match in accordance with [§23(3) through (6)] of the Regulation with the quotations received by the relevant time; and
2. Prices and quantities of three (3) consecutive expected best quotations: The prices of three (3) consecutive expected best quotations per bid and offer, and the quantities at such prices. In such cases, when it is possible to establish the expected matching price pursuant paragraph (1), it shall be based on the best quotations where such trade has been executed.

(3) The expected matching prices, etc. that are made public pursuant to paragraphs (1) and (2) shall be published during the quotation receiving hours for call auction. Provided that, during the quotation receiving hours for the determination of opening price, it shall be made public after ten (10) minutes has elapsed from the beginning of the quotation receiving hours.

(4) [Deleted on February 28, 2014]

(5) Pursuant to [§70(4)] of the Regulation, the publication of market prices related to the trading of listed issues shall be disclosed through the disclosure medium.

(6) Pursuant to [§70(4)] of the Regulation, the Exchange may make public any of the following subparagraphs for investors' reference: (Amended on October 30, 2014; June 21, 2016)

1. The issues traded by way of the regular session block trade or off-hours block trade;
2. The issues requested for one-sided auction;
3. The issues traded by way of one-sided auction;
4. The treasury stocks traded by the listed companies (including trading of treasury stocks under trust contract);
5. The matters to be disclosed with respect to net holding balance prescribed in Article 180-3 of the Act;
6. Details of the net holding balance aggregated by issue, which was reported to the Exchange pursuant to Article 180-2 of the Act; and
7. Additionally, the issues that the Exchange deems them useful for making the investment decision.

(7) Notwithstanding paragraph (1), when it is deemed necessary for the market management, the Exchange may differently determine the details of market prices published.

§82-2. Method of Reporting Algorithmic Trading Account

The reporting of algorithmic trading accounts by members pursuant to [§70-2(2)] of the Regulation shall be made by inputting a report prepared in accordance with [Annex: Form No. 17] into the Exchange system via the member system by 18:00 hours.

[December 22, 2022]

§82-3. Methods and Trades for Application for Quotation Processing by Account, etc.

(1) The request for quotation processing by account by members pursuant to [§70-2(3)] of the Regulation shall be conducted by the way of entering the matters noted in each of the

following subparagraphs into the Exchange system via member system or member securities terminals:

1. Algorithmic trading account number (limited to the account that was reported as an algorithmic trading account no later than the day before the date of request);
2. Types and details of the quotation processing by account. In such cases, the details shall be classified as follows:
 - (a) In the case of quotation processing by account pursuant to [§70-2(3)1] of the Regulation: Cancellation of all quotations received in the regular session; and
 - (b) In the case of quotation processing by account pursuant to [§70-2(3)2] of the Regulation: Blocking the receipt of additional new quotations, correction quotations and cancellation quotations (excluding cancellation quotations in the off-hours session).
3. Other matters that the Exchange deems necessary.

(2) Upon the request of members pursuant to paragraph (1), the Exchange shall perform the quotation processing by account after verifying the matters noted in each of the subparagraphs.

(3) The member who has requested for the quotation processing by account may request for the termination of such processing by the methods specified in paragraph (1) from the time when 10 minutes have elapsed since the request for the quotation processing by account, and, in cases where the member does not request for the termination, the Exchange may terminate the quotation processing by account at the closing time of off-hours sessions after the market close of the day.

(4) Notwithstanding paragraphs (1) and (3), the Exchange may, in the case of system failures and other cases that are deemed necessary for the market management, refuse a member's request for the quotation processing by account or request for the termination from such processing.

(5) When a member has requested for the quotation processing by account, the member shall keep the records and materials related to the quotation processing by account, including the details of system failures, etc., for 10 years.

[December 22, 2022]

§82-4. Registration of High-speed Algorithmic Trader, etc.

(1) Registration or reporting pursuant to [§70-3(1) and (2)] of the Regulation shall be made

by a member's inputting all matters in each of the following subparagraphs through member system. Provided that, in the case where a member reports itself as a high-speed algorithmic trader, matters in subparagraphs 1 and 4 shall be excluded:

1. Matters concerning the fulfilment of the requirement in each subparagraph of [§70-3(1)] of the Regulation;
2. Information about a customer or member as information that can identify the subject of registration, such as name or trade name;
3. Application for registration in accordance with [Annex: Form No. 18];
4. Confirmation on inspection of registration information, etc. in accordance with [Annex: Form No. 19]; and
5. Other matters that the Exchange deems necessary.

(2) In the case where there is a change in the matters registered or reported pursuant to paragraph (1), the member shall input the changed matter through the member securities terminal without delay.

(3) "The requirements specified in the Enforcement Rules" in [§70-3(1)3] of the Regulation shall refer to all of the following subparagraphs:

1. The customer shall have a management system such as an internal control organization and two (2) or more of professional personnel in order to efficiently manage risks that may arise from high-speed algorithmic trading. Provided that, with regard to the risks that occurs from high-speed algorithmic trading, any of the following items shall be deemed to meet the relevant requirement:

- (a) When a member directly conducts risk management, and

- (b) Where a member judges that the customer can recognize, evaluate, monitor, and control risks in a timely manner.

2. Other matters that the Exchange deems necessary for market management, etc.

(4) When a member registers or reports itself as a high-speed algorithmic trader pursuant to paragraph (1), the Exchange shall process it without delay. In such case, the Exchange may ask the member to supplement if there is a defect in the registration or report.

(5) The Exchange shall issue a trader registration number that can be commonly used in the KOSPI market, KOSDAQ market, KONEX market, and derivatives market for each high-

speed algorithmic trader who has completed registration and reporting. In such case, the high-speed algorithmic trader can set the risk management number (referring to the two (2) digit number set by the high-speed algorithmic trader to distinguish the range for applying the self-match prevention condition pursuant to [§11-2] and the mass order cancellation pursuant to [§12-2]; the same hereinafter) to the relevant registration number.

(6) Pursuant to [§70-3(3)] of the Regulation, a member shall connect a high-speed algorithmic trading number and a high-speed algorithmic trading account through the member system and report it to the Exchange.

(7) “The case specified in the Enforcement Rules” in [§70-3(5)3] of the Regulation shall refer to each of the following subparagraphs:

1. Where a customer takes out the ordering system from the member computer center, etc.; or
2. Where the Exchange recognizes that it is necessary for investor protection or the stability of trading order in the market and notifies it to the member.

(8) In case where all members that have received orders from a high-speed algorithmic trader cease to receive the orders pursuant to [§70-3(5)] of the Regulation, the Exchange may cancel the registration of the high-speed algorithmic trader of the relevant customer.

[December 22, 2022]

§82-5. Special Cases for Registration of High-speed Algorithmic Trader

(1) In the case where the registration or reporting of a high-speed algorithmic trader is completed in accordance with any of the regulations of the KOSDAQ market, KONEX market, or derivatives market operated by the Exchange, the registration and reporting are also deemed to have been completed in the KONEX market.

(2) In the case where multiple customers of a member satisfy all of the following subparagraphs, the member can collectively register them as high-speed algorithmic traders. In such case, the Exchange may issue a single trader registration number that can be jointly used by the relevant customers to a specific customer:

1. The customer shall be an affiliated corporation (including a foreign corporation incorporated under foreign laws and regulations) of a specific customer;
2. The customer and the affiliated corporation shall use the same trade ordering system; and

3. The member shall verify whether the registration requirements stated in [§70-3(1)] of the Regulation are met for all of the multiple customers.

[December 22, 2022]

§82-6. High-speed Algorithmic Trading through Multiple Members

In case where a member intends to receiver orders for high-speed algorithmic trading from a customer who has completed the registration as a high-speed algorithmic trader, the member shall apply for the right to use the trader registration number of the relevant customer to the Exchange. In such case, the letter part of [§70-3(1)] of the Regulation and [§82-4(1) (excluding subparagraph 3) through (4)] of these Enforcement Rules shall apply mutatis mutandis to the relevant application.

[December 22, 2022]

§82-7. Member's Obligation to Manage High-speed Algorithmic Trading

(1) Pursuant to [§70-4(1)] of the Regulation, a member shall inspect electronic system in order to verify whether the electronic systems including ordering system, etc. used by a customer has sufficient stability and adequacy to carry out high-speed algorithmic trading as specified in each of the following subparagraphs:

1. Matters concerning inspection of electronic system, etc. related to the registration stated in [§70-3] of the Regulation; A member shall prepare the standards and procedures for electronic system inspection, conduct the inspection of the electronic system thoroughly through the linkage tests with trade ordering system by the customer before applying for the registration, and file the results with the Exchange;
2. Matters concerning regular inspection: A member shall inspect the connection with the customer's electronic system on a regular basis every year. Provided that, if the member conducted the inspection on a timely basis due to the change of electronic system, etc. during the relevant year, it shall be deemed that the inspection pursuant to the main clause is completed and
3. Other matters that the Exchange deems necessary for the stable operation of the electronic system, etc.

(2) Pursuant to [§70-4(1)] of the Regulation, a member shall establish appropriate internal control mechanism for the management of risks and the prevention of financial accidents related to the high-speed algorithmic trading of customers as specified in each of following subparagraphs:

1. Matters concerning the granting of order limits: A member shall grant an appropriate order limit by evaluating the financial stability, credit rating, etc. and check the adequacy of the relevant limit on the regular basis;
 2. Matters concerning the monitoring of trades: A member shall monitor and supervise whether a customer complies with relevant regulations and internal control standards through the monitoring of high-speed algorithmic trading; and
 3. Matters concerning the response to accidents and failures: A member shall prepare appropriate control and response system including manuals to effectively cope with accidents or failures related to high-speed algorithmic trading of customers and minimize damage.
- (3) With respect to the request for submitting materials pursuant to [§70-4(2)] of the Regulation, A member shall record and maintain the following materials for 10 years and submit them if the Exchange requests for the market management, etc.
1. Materials on the registration of high-speed algorithmic traders and their trades; and
 2. Results of inspection and supervision conducted pursuant to paragraphs (1) and (2) and related materials.

[December 22, 2022]

§83. Date of Action for Ex-dividends, etc.

- (1) The date of action for ex-dividends, ex-rights or ex-distribution, etc. pursuant to [§71] of the Regulation shall be each of the following dates:
1. It shall be, except the cases mentioned in subparagraph 2, the day before the record date. Provided that, if the record date is a market holiday or in the middle of the closing period of the shareholder register, the record date shall be deemed the trading day immediately preceding the first day of market holidays or the commencement date of closing of the shareholder register; and
 2. It shall be the day on which trading halt is released if the record date falls in the middle of the trading halt (excluding the first day of trading halt).
- (2) Notwithstanding paragraph (1), when it is deemed necessary for market management, the Exchange may determine the action date differently.

§84. Public Opinion Gathering

Public opinion gathering pursuant to [§75-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

[May 6, 2020]

ADDENDUM

(September 13, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on September 17, 2013.

§2. Amendment of Other Regulations

(1) The provisions of the Enforcement Rules of KOSDAQ Market Business Regulation shall be amended in part as follows:

Chapter III-2 (§35-2 ~ §35-27) shall be deleted.

The provisions of “for each of the KOSPI Market and the KOSDAQ Market” in [§36(1)2] shall be “for each of the KOSPI Market, KOSDAQ Market and KONEX market”, and “between the KOSPI Market and the KOSDAQ Market” shall be “between the KOSPI Market, the KOSDAQ Market and the KONEX Market”.

The provisions of “[§9-2(1)] (including the cases which apply mutatis mutandis in [§27-4] of the Regulation)” in [§40/4(a)] shall be “[§9-2(1)]”, “[§9-2(2)] (including the cases which apply mutatis mutandis in [§27-4] of the Regulation)” in [§40/4(b)] shall be “[§9-2(2)]”, and “classifications(excluding the KONEX Market” in the provisions other than each of the items of [§40/9] shall be “classifications”. [§40/9-2] shall be deleted. And, of the provisions other than each of the items of [§40/17], “conditions (excluding the KONEX Market” shall be “conditions”.

The provisions of “[§9(7)] and [§27-3] of the Regulation” in [§41-2(1)2(a)] shall be “[§9(7)]”.

[§43-2] shall be deleted.

The provisions of “[§45] or [§47-24]” in [§44/3] shall be “[§45]”, and “[§38(2)] or [§47-21(1) & (2)]” in [§44/6] shall be “[§38(2)]”.

[§47(2)2-2] shall be deleted, and “subparagraphs of 1, 2, and 2-2” in [§47(2)3] shall be “subparagraphs of 1 and 2”.

The provisions of “stocks (excluding the stocks listed in the KONEX Market” in [§47-2(2)] shall be “stocks”.

The provisions of “... applied thereto only, excluding the issues listed in the KONEX Market.” in [§47-3(2)] shall be “... applied thereto only”, “issues (excluding the issues listed in the KONEX Market” in [§47-3(2)2] shall be “issues”, and [§47-3(2)2-2] shall be deleted. And “subparagraphs of 1, 2, and 2-2” in [§47-3(2)3] shall be “subparagraphs of 1 and 2”.

The provisions of “issues (excluding the stocks listed in the KONEX Market” in [§47-4] shall be “issues”.

The provisions of “issues using the opening price as the base price (excluding the issues listed in the KONEX Market” in [§48(1)] shall be “issues using the opening price as the base price”, and the paragraphs (3) and (4) of [§48] are deleted. And “paragraphs (1) and (4)” in the paragraph (7) of [§48] shall be “paragraph (2)”.

In the title of [§48-2], “KOSPI Market” shall be “KOSPI Market and KONEX market”, and in the provisions of [§48-2], “KOSPI Market” shall be “KOSPI Market and KONEX market” and, “KOSPI Market Business Regulation” shall be “KOSPI Market Business Regulation and KONEX Market Business Regulation”.

The provisions of “through paragraph (6) or paragraph (3) through paragraph (6) of [§27-14] of the Regulation” in [§52(2)1] shall be “through paragraph (6)”, and the subparagraphs 3-3 and 4 of [§52(6)] are deleted.

[Annex 3], [Annex 4], [Annex: Form No. 14-2], [Annex: Form No. 14-3] and [Annex: Form No. 14-4] are deleted.

(2) The provisions of the Enforcement Rules of KOSPI Market Business Regulation shall be amended in part as follows:

The provisions of “for each of the KOSPI Market and the KOSDAQ Market” in [§100(2)2] shall be “for each of the KOSPI Market, KOSDAQ Market and KONEX market”, and in the same subparagraph, “between the KOSPI Market and the KOSDAQ Market” shall be “between the KOSPI Market, the KOSDAQ

Market and the KONEX Market”.

The new provision of [§102/1-2] below shall be established as below:

1-2. “KONEX Market listed securities” shall mean the securities listed in the KONEX Market established by the Exchange.

The new provision of [§112/1-2] below shall be established as below:

1-2. KONEX Market listed securities that are designated as substitute securities by the KONEX Market Business Regulation.

In the title and the paragraph (1) of [§120], “KOSDAQ Market listed securities” shall be “KOSDAQ Market listed securities and KONEX Market listed securities”, respectively, and “KOSDAQ Market Business Regulation” shall be “KOSDAQ Market Business Regulation and KONEX Market Business Regulation, respectively”.

The provision of “KOSPI Market and KOSDAQ Market” in [§137(1)] shall be “KOSPI Market, KOSDAQ Market and KONEX Market”.

ADDENDA (December 18, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on January 2, 2014. Provided that the amended provisions of [§7(1)22] and [§68(3)2] shall be put into effect on the day separately determined by the Exchange considering the period necessary for the development of the computer program.

§2. Applicable Case on Special Case of Charging Good Faith Deposit

In applying amended provisions of [§73-2], “the last 6 month” is based on the day where a customer failed to deliver selling securities after the effective date of these Enforcement Rules.

ADDENDA (February 28, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on March 3, 2014.

§2. Exception in Applying Temporary Halt of the KONEX Market

“The date specified in the Enforcement Rules” in [§2] of Addenda of the KONEX Market Business Regulation, Regulation No. 951, shall mean February 28, 2014.

ADDENDUM

(June 18, 2014)

These Enforcement Rules shall become effective on June 30, 2014.

ADDENDA

(June 20, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on June 30, 2014. Provided that the amended provisions of [§74] and [§79-2] shall be put into effect on July 14, 2014.

§2. Effective Date of KONEX Market Business Regulation

“The date specified in the Enforcement Rules” in the ADDENDUM of the KONEX Market Business Regulation, Regulation No. 1034 shall mean June 30, 2014.

ADDENDA

(July 11, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on July 21, 2014.

§2. Interim Measures on Qualified Angel Investors

Notwithstanding the amended provisions of [§74], the qualified angel investors who established an account or was confirmed as of the effective date of this amendment pursuant to the previous provisions of [§74] shall be exempted from the minimum deposit pursuant to [§62] of the Regulation for two (2) years from the date of account establishment or the confirmation.

ADDENDUM
(September 19, 2014)

These Enforcement Rules shall become effective on November 17, 2014. However, the amended provisions of [§74] shall become effective on October 27, 2014.

ADDENDA
(October 30, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on November 17, 2014.

§2. Enforcement Date of the KOSDAQ Market Business Regulation

“The date determined in the Enforcement Rules” in the ADDENDUM of the KOSADQ Market Business Regulation, Regulation No. 1101, shall refer to November 17, 2014.

ADDENDUM
(November 13, 2014)

These Enforcement Rules shall become effective on January 1, 2015.

ADDENDA
(June 4, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on June 29, 2015. Provided that the amended provisions of [§74-2] shall become effective on July 27, 2015.

§2. Effective Date of the KONEX Market Business Regulation

“The date set by the Enforcement Rules” in the ADDENDUM of the KOSADQ Market Business Regulation, Regulation No. 1183 (amended on May 15, 2015), shall refer to June 29, 2015. However, it refers to July 27, 2015, as for the amended provisions of [§62-2] of the Regulation.

ADDENDA
(July 20, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on July 27, 2015. Provided that the amended provisions of [§19(5)] shall put into effect on the effective date of the amended provisions on the price range for bid orders stipulated in [§5-5(1)1(a) & (b)] of the Regulation on the Issuance of Securities and Disclosure of the FSC.

§2. Enforcement Date of the KONEX Market Business Regulation

“The date determined in the Enforcement Rules” in the ADDENDUM of the KONEX Market Business Regulation, Regulation No. 1171 (amended on April 29, 2015), shall refer to the effective date pursuant to the proviso to the [§1] above.

ADDENDA (August 20, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on October 1, 2015.

§2. Exceptions for Liquidity Coverage Ratio

For the liquidity coverage ratio pursuant to the amended provisions of [§52], the ratios stipulated in [§3] of Addenda of the Regulation on Supervision of Banking Business (FSC 2014-43) shall apply until the end of December 2018.

ADDENDUM (April 25, 2016)

These Enforcement Rules shall become effective on April 26, 2016.

ADDENDA (June 21, 2016)

§1. Effective Date

These Enforcement Rules shall become effective on June 27, 2016. Provided that the amended provisions of [§82] shall become effective on June 30, 2016, those of [§6(1)], [§24(2)], [§35(1)] and [§42(3)] shall become effective on August 1, 2016 and those of [§10(1)], [§11(1)] and [§12(1)] shall become effective on the date set by the Exchange separately.

§2. Effective Date of the KONEX Market Business Regulation

“The date determined in the Enforcement Rules” in the ADDENDUM of the KONEX Market Business Regulation, Regulation No. 1250 (amended on November 4, 2015), shall refer to the date separately determined by the Exchange by taking into consideration the time required to develop the computer systems, etc.

ADDENDUM

(June 24, 2016)

These Enforcement Rules shall become effective on August 1, 2016.

ADDENDUM

(November 10, 2016)

These Enforcement Rules shall become effective on December 26, 2016.

ADDENDA

(February 28, 2017)

§1. Effective Date

These Enforcement Rules shall become effective on March 6, 2017. Provided that the amended provisions of [§13], [§14], [§30], [§36-2] and [§38] shall become effective on March 27, 2017.

§2. Effective Date of the KONEX Market Business Regulation, etc.

“The date set by the Enforcement Rules” in the Addenda of the KONEX Market Business Regulation, Regulation No.1413, shall refer to March 27, 2017.

ADDENDUM

(May 29, 2017)

These Enforcement Rules shall become effective on June 26, 2017.

ADDENDUM

(June 19, 2017)

These Enforcement Rules shall become effective on June 26, 2017.

ADDENDA
(September 20, 2017)

These Enforcement Rules shall become effective on September 25, 2017.

ADDENDA
(September 19, 2017)

§1. Effective Date

These Enforcement Rules shall become effective on September 25, 2017.

§2. Exception in Calculation and Applying Time of Assessment Rates

Notwithstanding the amended provisions of [§77(4)], [§77-2] and [§77-3] of these Enforcement Rules, the assessment rates of the quarter in which the effective date falls shall be calculated on the day preceding the effective date and applied from the effective date to the end of the quarter following the quarter in which the effective date falls.

§3. Exceptions concerning Invalidation of Substitute Securities Ineligible for Member Margins

Notwithstanding the amended provisions of [§46-8(1)] of these Enforcement Rules, the substitute prices for the substitute securities ineligible for member margin shall be adjusted as follows:

1. The adjustment rate shall be 25% from the effective date of these Enforcement Rules to September 24, 2018; and
2. The adjustment rate shall be 50% from September 25, 2018 to September 24, 2019.

§4. Exceptions concerning Deposit Limits per Issue of Substitute Securities

Notwithstanding the amended provisions of [§46-9(1)] of these Enforcement Rules, the rates applied for calculation of deposit limits per issue of substitute securities shall be as follows:

1. In the case of subparagraph 1 of [§46-9(1)]: 100/100 from the effective date of these Enforcement Rules to September 24, 2018; and 75/100 from September 25, 2018 to September 24, 2019. Provided that, in the case of a security falling under subparagraph 1(b) of [§75-2], it shall be 200/100 and 150/100, respectively; and

2. In the case of subparagraphs 3 and 4 of [§46-9(1)]: 20/100 from the effective date of these Enforcement Rules to September 24, 2018; and 15/100 from September 25, 2018 to September 24, 2019.

ADDENDUM
(June 26, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on July 2, 2018.

§2. Applicable Case in the Exemption of Submission of Liquidity Providing Quotations

The amended provisions of [§23(1)3] shall apply from the cases of designations as investment precaution issue, investment warning issue or investment risk issue after the date of this amendment.

ADDENDUM
(September 12, 2018)

These Enforcement Rules shall become effective on September 17, 2018.

ADDENDUM
(December 5, 2018)

These Enforcement Rules shall become effective on December 10, 2018.

ADDENDA
(December 28, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on January 2, 2019. Provided that the amended provisions of [§18(4)] shall become effective on the trading day following the effective date of the amendments to the related matters in [Table 1] of the General Credit Information Management Agreement of the Korea Credit Information Services.

§2. Effective Date of the KONEX Market Business Regulation

“The date set by the Enforcement Rules” in the Addenda of the KONEX Market Business Regulation, Regulation No.1607 (amended on December 5, 2018; referred to as “Regulation”

hereinafter in these addenda) shall refer to the effective date pursuant to the proviso to [§1] above.

§3. Applicable Cases

(1) The amended provisions of [§11(4)] of the Regulation shall apply starting with the case when the customer became aware of the fact that a short selling has been made through the relevant account after the effective date under [§2] above.

(2) The amended provisions of [§13(3)] of the Regulation shall apply starting with the case when the customer information was notified from the Exchange after the effective date under the proviso to [§2] above.

(3) The amended provisions of [§61(5)2] of the Regulation and [§18(4)] of the Enforcement Rules shall apply starting with the case where the settlement date comes after the effective date under the proviso to [§1] and [§2] above, and the customer has not delivered the securities sold by the settlement date.

ADDENDUM

(April 3, 2019)

These Enforcement Rules shall become effective on April 29, 2019.

ADDENDA

(April 17, 2019)

§1. Effective Date

These Enforcement Rules shall become effective on July 29, 2019.

§2. Effective Date of the KONEX Market Business Regulation, etc.

“The date set by the Enforcement Rules” in the ADDENDUM of the KONEX Market Business Regulation, Regulation No. 1663 (amended on April 17, 2019), shall refer to July 29, 2019.

§3. Applicable Case on the Exemption of Requirement for Submission of Liquidity Providing Quotations

For the application of the amended provisions of [§22], it shall be deemed that it has lapsed three (3) years since the date of listing on the effective date of this amendment as to the companies which listed their shares prior to three (3) years of the effective date of this

amendment.

ADDENDA
(July 22, 2019)

§1. Effective Date

These Enforcement Rules shall become effective on July 29, 2019.

§2. Effective Date of the KONEX Market Business Regulation

“The date set by the Enforcement Rules” in the proviso to the ADDENDUM of the KONEX Market Business Regulation, Regulation No. 1696 (amended on July 10, 2019), in the case of the amended provisions of [§34-2] of the Regulation concerning the restriction on deposit of member margins in the securities issued by members or related companies of members, shall refer to July 29, 2019.

ADDENDUM
(September 10, 2019)

These Enforcement Rules shall become effective on September 16, 2019.

ADDENDA
(November 27, 2019)

§1. Effective Date

These Enforcement Rules shall become effective on December 2, 2019. Provided that the amended provisions of [§46-5] shall take effect on July 1, 2020. (Amended on March 17, 2020; June 15, 2020)

§2. Effective Date of the KONEX Market Business Regulation

“The date set by the Enforcement Rules” in the proviso to the ADDENDUM of the KOSDAQ Market Business Regulation, Regulation No. 1696 (amended on July 10, 2019), in the case of the amended provisions of [§34-7] and [§34-8] of the Regulation concerning imposition and release from imposition of additional intraday member margins, shall refer to December 2, 2019.

ADDENDUM
(March 9, 2020)

These Enforcement Rules shall become effective on March 9, 2020.

ADDENDUM
(March 17, 2020)

These Enforcement Rules shall become effective on March 18, 2020.

The provisions of the Enforcement Rules of KOSDAQ Market Business Regulation shall be amended in part as follows:

Chapter III-2 (§35-2 ~ §35-27) shall be deleted.

ADDENDA
(May 6, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on May 8, 2020.

§2. Amendment of Other Regulations

(1) The provisions of the Enforcement Rules of KONEX Market Listing Regulation shall be amended in part as follows:

Provision of [§31] shall be established as follow.

§31. Public opinion gathering

Public opinion gathering pursuant to [§37-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

(2) The provisions of the Enforcement Rules of KONEX Market Disclosure Regulation shall be amended in part as follows:

Provisions of [§19] shall be established as follow.

§19. Public opinion gathering

Public opinion gathering pursuant to [§47-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

ADDENDUM

(June 15, 2020)

These Enforcement Rules shall become effective on June 12, 2020.

ADDENDUM

(August 5, 2020)

These Enforcement Rules shall become effective on September 7, 2020.

ADDENDUM

(March 8, 2021)

These Enforcement Rules shall become effective on March15, 2021.

ADDENDUM

(March 12, 2021)

These Enforcement Rules shall become effective on March15, 2021.

ADDENDUM

(May 6, 2021)

These Enforcement Rules shall become effective on June 7, 2021.

ADDENDUM

(May 7, 2021)

These Enforcement Rules shall become effective on May 10, 2021.

ADDENDA

(KOSDAQ Market Listing Regulation / October 27, 2021)

§1. Regulation on the Enforcement Rules of the KOSDAQ Market Listing Regulation

The wholly amended KOSDAQ Market Listing Regulation, Regulation No. 1977, shall become effective on November 1, 2021. Provided that the amended provisions of [§2(1)1(f)(ii)], the latter part of [§69(2)], the proviso to [§70(1)9(d)(iii)], the proviso to [§73(2)9(c)] and [§76(1)2] shall become effective from the date separately specified by the Exchange in consideration of the promulgation date of the amendments to the Enforcement Decree of the Corporate Tax Act.

§2. through §9. [Omitted]

§10. Amendment of Other Regulations

(1) through (3). [Omitted]

(4) The provisions of the Enforcement Rules of the KOSDAQ Market Business Regulation shall be amended in part as follows.

Of [§46-9(1)2(a)], “[§2(3)] of the KOSDAQ Market Listing Regulation” shall be “[§2(1)34] of the KOSDAQ Market Listing Regulation”.

(5) and (6). [Omitted]

ADDENDA

(November 25, 2021)

§1. Effective Date

These Enforcement Rules shall become effective on November 29, 2021. Provided that the amended provisions of Paragraphs 2 and 3 under [Annex 3] shall apply from January 3, 2022.

§2. Exceptional Cases for Adjustment Factor of Member Margin for Customer Account Group

Notwithstanding the amended provisions of Paragraph 4 under [Annex 3] of this Enforcement Rule, the adjustment factor of member margin for customer account group shall be 0.9 until June 30, 2022.

ADDENDA

(April 28, 2022)

§1. Effective Date

These Enforcement Rules shall become effective on May 2, 2022. Provided that, the amended provisions of [§7], [§9], [§35], [§74], [§74-2] and [§79-2] shall be effective from May 30, 2022.

§2. Applicable Cases of Termination of Obligation to Submit Liquidity Providing Quotations

(1) When applying the amended provisions of [§22(2)1] and [§22(4), (5) and (6)], listed corporations that have passed one (1) year from the date of listing as of the effective date of these Enforcement Rules, it shall be deemed that one (1) year has passed for the corporations from the date of listing.

(2) The amended provisions of [§22(2)2] and [§22(4)] shall apply from the company that applies for initial listing after the effective date of these Enforcement Rules.

ADDENDUM (August 26, 2022)

These Enforcement Rules shall become effective on October 24, 2022.

ADDENDUM (September 30, 2022)

§1. Effective Date

These Enforcement Rules shall become effective on June 7, 2021.

§2. Applicable Cases Concerning Application for Initial Listing

The amended provisions of Annex 1 shall be applied from the corporation applying for initial listing after the enforcement date of these Enforcement Rules.

ADDENDUM (October 19, 2022)

These Enforcement Rules shall become effective on October 24, 2022.

ADDENDUM (November 11, 2022)

These Enforcement Rules shall become effective on November 14, 2022.

ADDENDA

(December 22, 2022)

§1. Effective Date

These Enforcement Rules shall become effective on January 25, 2023.

§2. Enforcement Date of KONEX Market Business Regulation

“The date stipulated in the Enforcement Rules” in [§1] of Addenda of the KONEX Market Business Regulation, Regulation No. 2086 (amended on December 7), shall be January 25, 2023.

ADDENDUM

(August 8, 2023)

These Enforcement Rules shall become effective on September 1, 2023.

ADDENDUM

(November 23, 2023)

These Enforcement Rules shall become effective on November 11, 2023.

ADDENDUM

(Regulation No. 2294 / March 4, 2025)

This Regulation shall become effective on March 4, 2025.

ADDENDA

(Securities Market Clearing and Settlement Business Regulations)

(Regulation No. 2297 / February 27, 2025)

§1. Effective Date

This Regulation shall become effective on March 4, 2025.

§2. Revision of Other Regulation

(1) [Omitted]

(2) [Omitted]

(3) The Enforcement Rules of the KONEX Market Business Regulations is partially revised

as follows:

Chapter 4 (§45 through 63-2) shall be deleted. [§75-2 through 80] shall be deleted. [Annex 3 through 7] and [Annex: Form No. 11 through 15] shall be deleted.

ADDENDUM

(Regulation No. 2317 / March 26, 2025)

This Regulation shall become effective on March 31, 2025.

ADDENDUM

(Regulation No. 2385 / December 29, 2025)

This Regulation shall become effective on January 12, 2026.

ADDENDUM

(Regulation No. 2395 / January 15, 2026)

This Regulation shall become effective on February 9, 2026.

[Annex 1] Guidelines for Calculation of Lowest and Highest Quotation Prices for Determination of the First Price of Initially Listed Issues, etc.

(Amended on July 20, 2015; April 25, 2016; May 29, 2017; June 26, 2018; December 28, 2018; September 30, 2022)

Guidelines for Calculation of Lowest and Highest Quotation Prices for Determination of the First Price of Initially Listed Issues, etc.

(Pertaining to [§36(4)] of the Enforcement Rules)

(1) The lowest and highest quotation prices used for the determination of first trading price of the issue falling under any of the following subparagraphs shall be the price (the amount less than KRW1 shall be rounded down and if the price is less than the quotation price unit, it shall be rounded up to the quotation price unit) calculated by multiplying the appraisal price (the amount less than KRW 1 shall be rounded down and if the relevant price is less than the quotation price unit, it shall be moved up to the quotation price unit; the same hereinafter) by the application rate noted in paragraph (3), except for the cases defined otherwise: (Amended on July 20, 2015)

1. Issues initially listed (excluding the issues falling under [§25(1)2a]);
2. Issues with listing change;
3. Issues underwent paid-in capital reduction;
4. Issues of different classes of stock to be listed first time after initial listing of common stocks and issues of different classes of stock to be listed with the right details that are different from those of already listed different classes of stock; and
5. Issues of which trading is resumed after having been suspended or halted for thirty (30) trading days or longer

(2) The appraisal price noted in paragraph (1) shall be the price noted in each of the following subparagraphs. In such cases, when the company subject to preparation of consolidated financial statement pursuant to the Act on External Audit of Stock Companies, it shall be based on the consolidated financial statement and audit report thereon, and for those issues which fall under two or more of the subparagraphs of the paragraph (1), the appraisal price shall be calculated by applying each calculation method in the order of the effective date: (Amended on July 20, 2015; April 25, 2016; May 29, 2017; June 26, 2018; December 28, 2018)

1. For issues initially listed:
 - (a) Case of an issue of common stocks initially listed

(i) In cases where the public offering or the secondary distribution is made within one year after submitting the application for listing eligibility review (hereinafter “date of listing application”) pursuant to [§12] or [§13-2] of the Listing Regulation, the issue price at the time of public offering or the secondary distribution (in cases where the public offering or the secondary distribution is made twice or more, the average price weighted by the number of stocks issued). Provided that, in cases where the public offering or the secondary distribution is made without submitting a securities registration statement pursuant to Article 119 of the Act, this shall apply only to the case where the aggregate amount of each of the public offering and the secondary distribution is KRW 300 million or more, respectively, and the number of investors participated in the public offering and the secondary distribution is 50 or more (in the calculation of the aggregate amount and the number of investors, investors with investments under the amount of KRW 500,000 and related persons pursuant to Article 11(1)2 of the Enforcement Decree of the Act are excluded).

(ii) As a case other than those noted in subparagraph 1(a)(i), in cases where a private placement [limited to a case where 50 (including the persons falling under each subparagraph of Article 11(1)2 of the Enforcement Decree of the Act and excluding those with investment amount of less than KRW 500,000) or more investors participated and the number of common stocks issued in accordance with the concerned investment is 3% or more of the total number of common stocks issued] is made, the issuing price of the private placement concerned (in cases where the private placement is made twice or more, the average price weighted by the number of stocks issued).

(iii) As a case other than those noted in subparagraph 1(a)(i) and (ii), in cases where a private placement is made, in the manner of the following sub-items of a) and b) after the date five years before the date of application for initial listing, to persons falling under any of [§74(1)1 and 2], Article 2-3(2)14 of the Enforcement Decree of the Act on Special Measures for the Promotion of Venture Businesses, Article 9(15)3 (limited to the cases* recognized by the Exchange) of the Act, or each Subparagraphs of Article 10(1) of the Enforcement Decree of the Act, the issuing price of the private placement concerned [in the cases of different classes of stocks which are entitled to conversion or issuance of common stocks, convertible bonds, and bonds with warrants (excluding those securities that matures within one (1) year after the application for initial listing and those bonds with warrants which allow transfer of warrants only; the same hereinafter in this subparagraph), the calculation of the issuing price of the private placement shall consider the conversion price, exercise price, etc.]. In this case, if there are two or more relevant private placement cases, it shall be the average price weighted by the number of stocks issued (in the cases of different classes of stocks which are entitled to conversion or issuance of common stocks, convertible bonds, and bonds with warrants, the number of stocks

issued shall be calculated supposing the conversion or issuance of common stocks are exercised; the same hereinafter in this subparagraph). For the calculation, however, different weight is applied as follows: 500/100 for those securities issued after the day of one year prior to the application of initial listing; 400/100 for those issued between the day of two years and the day of one year prior to the application; 300/100 for those issued between the day of three years and the day of two years prior to the application; 200/100 for those issued between the day of three years and the day of four years prior to the application; and 100/100 for those issued between the day of four years and the day of five years prior to the application.

- a) Private placement of common stocks or different class of stocks with 3% or more of the total number of stocks issued. In this case, in cases where private placements are conducted twice or more, it shall be limited up to the one where the cumulative number of shares issued by private placement reaches for the first time 3% or more of the total number of shares issued when counting in the results of private placements starting with the latest one from the date of initial listing application; or,
- b) As a case other than those noted in a) above, private placement of stocks, convertible bonds or bonds with warrants with 3% or more of the total number of securities issued. In this case, in cases where private placements are conducted twice or more, it shall be limited up to the one where the cumulative number of shares issued by private placement reaches for the first time 3% or more of the total number of securities issued when counting in the results of private placements starting with the latest one from the date of initial listing application.

* Note: It shall refer to cases that meet all of following requirements:

- i) Considering the investment purpose and business relevance of the relevant stock-listed corporation, etc. comprehensively, it shall be recognized that the investment is carried out for strategic cooperation with the applicant corporation for initial listing;
- ii) The stock-listed corporation shall not be a specially-related person of the corporation applying for initial listing (referring to a person falling under any of each Subparagraph of Article 3(1) of the Enforcement Decree of the Governance Structure of Financial Companies, etc.;
- iii) The relevant stock-listed corporation shall not be a corporation that falls under the causes for delisting, a corporation that is subject to the listing maintenance review, or a corporation that is designated as an administrative issue in accordance with the listing regulation in the KOSPI market; .

iv) The relevant stock-listed corporation shall not be a corporation that falls under the causes for delisting, a corporation that is subject to the listing maintenance review, a corporation that is designated as an administrative issue, or a corporation that is designated as an investment caution issue in accordance with the listing regulation in the KOSDAQ market;

v) The relevant stock-listed corporation shall not be a corporation that falls under the causes for delisting or a corporation that is subject to the listing maintenance review in accordance with the listing regulation in the KONEX market;

(iv) For cases other than those noted in subparagraph (i), (ii) and (iii), the net asset value determined according to the following manner:

a) The net asset value per share shall be determined by dividing the net asset value by the number of stocks issued as of the authorization date for initial listing.;

b) The “net asset value” in subparagraph (a) above shall be determined by adding the amount of treasury stocks to the total capital (excluding the non-controlling interests). In such cases, if the paid-in capital (including additional paid-in capital) has been increased or decreased during the period from the base date of the latest financial position statement submitted to the Exchange to the application date for initial listing, such increase or decrease shall be added or deducted.

(b) Case of listing both the common stocks and different classes of stocks initially at the same time

(i) In the case of common stocks, the price determined by the method noted in item (a).

(ii) In the case of different classes of stocks, the price determined by the following methods:

a) If the different classes of stock have the record of public offering or secondary distribution falling under the subparagraph 1(a)(i), the issuing price at the time of public offering or secondary distribution that is closer to the listing date; and

b) As a case other than those noted in a) above, if the different classes of stocks have the record of public offering or secondary distribution falling under the subparagraph 1(a)(ii), the issuing price of the private placement (in cases where there are two or more private placement, it shall be the average price weighted by the number of shares issued);

c) As a case other than those noted in a) and b) above, if the different classes of stocks have the record of public offering or secondary distribution falling under the subparagraph 1(a)(iii), the price calculated according to the method of the subparagraph 1(a)(iii); and,

d) As a case of different class of stocks that does not fall into any of the a) to c) above, if the different classes of stocks have equivalent different stocks falling under any of the a) to c), the average of the appraisal prices of equivalent different classes of stock. Provided that, if there are no equivalent different classes of stocks, it shall be the appraisal price of common stocks.

2. For issues with listing change (referring to a case of listing the surviving corporation with changes in listing status, where a listed corporation undergoes a split-off or a merger after split-off)

(i) In cases where the net asset amount (referring to the net asset amount noted in subparagraph 1(a)(iv)b); the net asset amount stated in the financial position statement made public recently may be used; the same hereinafter in this subparagraph) of issues with listing change as of the authorization date of listing application is “positive”, the price determined according to the following method. In such cases, as a case where newly issued stocks are delivered to a specific person before the listing date (if the listing date is the day of trading suspension, it shall be the day when the suspension is lifted; the same hereinafter in subparagraphs 3(i) and (ii)) as a result of paid-in capital increase by the third party allotment, merger, stock swap or business/asset takeover (hereinafter referred to as the “paid-in capital increase by the third party allotment, etc.”), if the number of stocks issued at the issuing price less than 50/100 of the appraisal price exceeds the number of stocks before the relevant paid-in capital increase by the third party allotment, etc., the lowest price among the quotation price units shall be the lowest quotation price.

a) Appraisal price at the time of split-off = (Total market capitalization per class of stocks on the last trading day of the corporation before split-off x Net asset split-off ratio) / Number of shares per class of stocks after split-off

b) Appraisal price at the time of merger after split-off = (Total market capitalization per class of stocks on the last trading day of the corporation before merger after split-off x Net asset split-off ratio) / Number of shares per class of stocks after merger after split-off

c) The net asset split-off ratio noted in a) and b) above shall refer to the split-off ratio of net asset value of a company before the split-off stated in the report on completion of split-off or the post-issuance report submitted with respect to the split-off or merger after split-off. Provided that, if it has been confirmed, according to the balance sheet in the audit (or review) report of an external auditor, that the

net asset values of the issue with listing change as of the authorization date of listing application are different from those stated in the report on completion of split-off or the post-issuance report submitted with respect to the split-off or merger after split-off, the net asset split-off ratio may be determined differently.

d) In cases where the number of companies before merger after split-off is two (2) or more, “(Total market capitalization per class of stocks on the last trading day of the corporation before merger after split-off x Net asset split-off ratio)” noted in (b) above shall be determined by adding the amount calculated per corporation before merger after split-off.

(ii) In cases where the net asset value of issue with listing change as of the date of listing application is not ‘positive’, the lowest quotation price shall be the lowest price among the quotation price units and the highest quotation price shall be the closing price (if there is no closing price, it shall be the base price; the same hereinafter in subparagraph 3) on the last trading day before spit-off.

3. Issues undergone paid-in capital reduction

(a) Case of capital reduction without consideration (nominal capital reduction)

The amount (in cases where stock split, ex-rights, etc. occurred before the listing, the amount shall be determined by taking into such factor) determined by multiplying the merger or stock retirement ratio applicable to the minority shareholders by the closing price on the last trading day before the reverse stock split or stock retirement. In such cases, if the newly issued stocks are delivered to a specific person as a result of the paid-in capital increase by the third party allotment, etc. conducted before the listing date, in the event that the number of stocks issued at the price less than 50/100 of the issuing price exceeds the number of stocks before the relevant paid-in capital increase by the third party allotment, etc., the lowest price among the quotation price units shall be the lowest quotation price.

(b) Reduction of capital stock by payment in cash (real capital reduction)

The price determined using the following formula. In such cases, if the amount obtained by multiplying 150/100 by the amount pursuant to following formula is less than the closing price (in the case of stock split or ex-rights occurs before the listing, it shall be the amount determined by taking into such factor; the same hereinafter in this item and item (c)) on the last trading day before the trade suspension, the relevant closing price shall be the highest quotation price, and if, as a case where subsequent to the paid-in capital increase by the third party allotment, etc., and the newly issued stocks are delivered to a specific person before the listing date, the number of stocks issued at the issuing price less than 50/100 of appraisal price exceeds the number of stocks before the relevant paid-in capital increase by the third party allotment, etc.,

the lowest price among the quotation price units shall be the lowest quotation price, and the amount pursuant to the following formula is not 'positive' quantity, the lowest quotation price shall be the lowest price among the quotation price units and the highest quotation price shall be the closing price of the last trading before trade suspension.

(i) Appraisal price = [(Closing price on the last trading day before paid-in capital reduction × Number of shares before paid-in capital reduction) – (Payment amount per share × Number of shares reduced)] / Number of shares after paid-in capital reduction

(ii) In calculating the appraisal price noted in (i), if the stock split, reverse stock split, ex-rights, etc. occurs before the listing, such factor shall be taken into consideration, and 'payment per share' shall refer to the amount paid for one (1) share held by minority shareholders and 'number of share reduced' shall refer to the number of shares reduced of all shareholders.

(c) Notwithstanding the provisions of items (a) and (b) and paragraph (3), in cases where newly issued stocks are delivered to a specific person as a result of a paid-in capital increase by the third party allocation, etc. conducted before the date of listing (referring to the date of supplementary listing as a result of the paid-in capital increase by the third party allocation, etc. and the date of listing change due to the capital reduction, and including the date of release from trading suspension in the case of an issue under trading suspension; the same hereinafter in this Item) and after the capital reduction, and the number of stocks issued at the price less than 20/100 of the appraisal price stipulated in item (a) or (b) above exceeds the number of stocks before the relevant paid-in capital increase by the third party allocation, etc., the appraisal prices shall be classified as follows. In such cases, the appraisal price shall be calculated on the date of listing concerned, and the lowest price among the quotation price units shall be the minimum quotation price, and when calculating the maximum quotation price, the application rate shall be 300%.

(i) In the case of capital reduction without consideration, the price obtained through weighted calculation by the following formula

- Appraisal price = [(Closing price of the last trading day before the capital reduction × No. of stocks before the capital reduction) + Sum of issuing amounts of newly issued stocks resulting from the paid-in capital increase by the third-party allocation, etc.] / No. of stocks on the date of listing concerned

(ii) In the case of capital reduction with consideration, the price calculated through weighted calculation by the following formula. In such cases, if the price calculated by multiplying the following appraisal price by 300/100 is lower than the closing price of the last trading day before the capital reduction, the closing price of previous

day shall be the maximum quotation price, and if the appraisal price is not “positive”, the closing price of previous day shall be the maximum quotation price.

- Appraisal price = [(Closing price of the last trading day before the capital reduction × No. of stocks before the capital reduction) + Sum of issuing amounts of newly issued stocks resulting from the capital increase by way of third-party allocation, etc. – Sum of payments to the shareholders for capital reduction] / No. of stocks on the date of listing concerned

4. The different classes of stock to be listed first time after initial listing of the common stocks and different classes of stock to be listed as an issue of which the right details are different from different classes of stocks already listed

(a) In the case of different classes of stocks listed first time after initial listing of common stocks, the issuing price pursuant to the subparagraph 1(a)(i) to (iii). Provided that, if there is no issuance of shares pursuant to the subparagraph 1(a)(i) to (iii), it shall be the base price of common stocks on the listing date.

(b) In the case of listing different classes of stocks of which right details are different from those of different classes of stocks already listed, the issuing price pursuant to the subparagraph 1(a)(i) to (iii). Provided that, if there is no issuance of stocks pursuant to the subparagraph 1(a)(i) to (iii), it shall be the prices noted in the followings:

(i) In cases where there are equivalent different classes of stocks already listed, the price determined by averaging the base prices of concerned listed different classes of stock; and

(ii) In cases where there are no equivalent different classes of stocks already listed, the base price of common stocks on the listing date.

5. In the case of those issues of which trading is resumed after suspension or halt of trading for over 30 trading days, it shall be the closing price of the last trading day. Provided that, in cases where there is a stock split, ex-right, etc. before resuming the trading, those shall be considered in the calculation and the provision of the latter part of the subparagraph 2(a) shall be applied mutatis mutandis.

(3) The application rate shall be each of the followings: In this case, in applying the subparagraph 1 and 2, for those issues falling under two or more of each subparagraph in paragraph (1), the lowest application rate from among the rates applicable to the relevant subparagraphs concerned shall be applied. [Latter part established on July 20, 2015] (Amended on December 28, 2018)

1. Application rate when determining the lowest quotation price
 - (a) For common stocks initially listed: 90/100
 - (b) For any other issues: 50/100
2. Application rate when determining the highest quotation price
 - (a) For issues for which paid-in capital is reduced: 150/100
 - (b) For common stocks initially listed (limited to the case of paragraph (2)1(a)(iv): 400/100
 - (c) For any other issues: 200/100
- (4) Notwithstanding the paragraphs (1) through (3) above, in cases of a newly listed issue (limited to the case of common stocks), the Exchange may determine the appraisal price in a different way, referring to the price and calculation method proposed by the designated advisor in cases where it is deemed that the appraisal price calculated pursuant to paragraphs (1) and (2) are obviously unreasonable or it is difficult to apply them due to cases that the net asset value per share is “negative (-)”, etc. In such cases, the application rate for the calculation of the lowest quotation price shall be 90/100 and the application rate for the calculation of the highest quotation price shall be 400/100. Provided that, in cases where the Exchange deems it unreasonable to have the application rate for the calculation of the highest quotation price as 400/100, in such cases where the appraisal price is determined with a price equivalent to the paragraph (2)1(a)(i) through (iii), the application rate shall be 200/100. (Amended on June 26, 2018)
- (5) Notwithstanding the paragraphs (1) through (3) above, in cases of a newly listed issue (limited to the case of a different class of stocks) and issues falling under any of the paragraphs (1)2 to 5, the Exchange may determine them in a different way in cases where it is deemed that the appraisal price, lowest quotation price or highest quotation price calculated pursuant to paragraphs (1) through (3) are obviously unreasonable or it is difficult to apply them. (Amended on July 20, 2015)

[Annex 1-2] Application for Mass Order Cancellation, etc.

[December 21, 2022]

Application for Mass Order Cancellation, etc.

(Pertaining to [§12-2(1)] of the Enforcement Rules)

* Securities shall be entered by selecting one from the securities list.

Matters for applying mass order cancellation		Remarks
Member number		Mass order cancellation applies only to quotations submitted by the member
High-speed algorithmic trading number		A six-digit number combining the trader registration number with the risk management number used by high-speed algorithmic traders pursuant to [§82-4(5)] of Enforcement Rules
Securities*		a. Stock
Condition	Issue	Specific issue or all issues Security code is in accordance with the Guidelines on Standard Code Management for Securities and Related Financial Products
	Ask/Bid	a. Asks b. Bids c. Bids and asks
	Account number	A specific account or all accounts reported by a high-speed algorithmic trader pursuant to [§70-3(3)] of the Regulation
	Quotation group number	A specific group number or the entire group number designated by the member to classify quotations when inputting those quotations

[Annex 2] Method of Calculating Base Price of Issues gone Ex-dividend and Ex-right

Method of Calculating Base Price of Issues gone Ex-dividend and Ex-right

(Pertaining to [§25(1)6] of the Enforcement Rules)

(1) Case of ex-dividends

1. Case of paying dividend with the stocks whose class is the same as the class of already listed stocks

a. Base price of common stocks = $(\text{Closing price of cum dividend common stocks} \times \text{Number of common stocks before dividends}) / (\text{Number of common stocks before dividends} + \text{Number of common stocks allotted to shareholders of common stocks})$

b. Base price of preferred stocks = $(\text{Closing price of cum dividend preferred stocks} \times \text{Number of preferred stocks before dividends}) / (\text{Number of preferred stocks before dividends} + \text{Number of preferred stocks paid as dividends to shareholders of preferred stocks})$

2. Case of paying dividend with either the common stocks or different classes of stocks to the already listed common stocks and different classes of stocks

a. Case of paying dividend with common stocks

i. Base price of common stocks = $(\text{Closing price of cum dividend common stocks} \times \text{Number of common stocks before dividend payment}) / (\text{Number of common stocks before dividend payment} + \text{Number of common shares paid as dividends to shareholders of common stocks})$

ii. Base price of different classes of stock = $[(\text{Closing price of cum dividend different classes of stocks} \times \text{Number of different classes of stocks before dividends}) - (\text{Base price of common stocks} \times \text{Number of common shares paid as dividends to the shareholders of different classes of stocks})] / \text{Number of different classes of stocks before dividends}$

b. Case of paying dividend with different classes of stocks

i. Base price of common stocks = $[(\text{Closing price of cum dividend common stocks} \times \text{Number of common stocks before dividend}) - (\text{Issuing price of different classes of stocks} \times \text{Number of different classes of shares paid as dividend to shareholders of common stocks})] / \text{Number of common stocks before dividends}$

ii. Base price of different classes of stocks = $(\text{Closing price of cum dividend different classes of stocks} \times \text{Number of different classes of stocks before dividends}) / (\text{Number of different classes of stocks before dividend} + \text{Number of different classes of stocks paid as dividends to shareholders of different classes of stocks})$

(2) Case of ex-rights

1. Case of allotting stocks whose class is the same as the class of stocks already listed

a. Base price of common shares = $(\text{Closing price of cum rights common stocks} \times \text{Number of common stocks before rights offering}) + (\text{Issuing price of common stocks} \times \text{Number of common shares allotted to shareholders of common stocks}) / (\text{Number of common stocks before rights offering} + \text{Number of common shares allotted to shareholders of common stocks})$

b. Base price of different classes of stock = $[(\text{Closing price of cum rights different classes of stocks} \times \text{Number of different classes of stocks before rights offering}) + (\text{Issuing price of different classes of stocks} \times \text{Number of different classes of stocks allotted to shareholders of different classes of stocks})] / (\text{Number of different classes of stocks before rights offering} + \text{Number of different classes of stocks allotted to shareholders of different classes of stocks})$

2. Case of allotting either the common stocks or different classes of stocks to the already listed common stocks and different classes of stocks

a. Case of allotting common stocks

i) Base price of common stocks = $[(\text{Closing price of cum rights common stocks} \times \text{Number of common stocks before rights offering}) + (\text{Issuing price of common stocks} \times \text{Number of common shares allotted to shareholders of common stocks})] / (\text{Number of common stocks before rights offering} + \text{Number of common shares allotted to shareholders of common stocks})$

ii) Base price of different classes of stock = $[(\text{Closing price of cum rights different classes of stocks} \times \text{Number of different classes of stocks before rights offering}) + \{(\text{Issuing price of common stocks} - \text{Base price of common stocks}) \times \text{Number of common shares allotted to shareholders of different classes of stocks}\}] / \text{Number of different classes of stocks before rights offering}$

b. Case of allotting different classes of stocks

i) Base price of common stocks = $(\text{Closing price of cum rights common stocks} \times \text{Number of common stocks before rights offering}) + \{(\text{Issue price of different classes of stocks} - \text{Base price of different classes of stocks}) \times \text{Number of different}$

classes of stocks allotted to shareholders of common stocks}}] / Number of common stocks before rights offering

ii) Base price of different classes of stocks = [(Closing price of cum rights different classes of stocks × Number of different classes of stocks before rights offering + (Issuing price of different classes of stocks × Number of different classes of stocks allotted to shareholders of different classes of stocks)) / (Number of different classes of stocks before rights offering + Number of different classes of stocks allotted to shareholders of different classes of stocks)

iii) In the case of allotting different classes of stock to the already listed different classes of stocks, the method of calculating the base price of common stocks noted in i) shall apply *mutatis mutandis* thereto.

Notes:

1. In the case of paying dividend with or allocating the stocks whose class is different from that of already listed stocks, it shall be deemed that among the already listed stocks, the stocks whose class is the most similar to that already-listed stocks are paid as dividend or allocated.

2. "Closing price of cum dividend" or "closing price of cum rights" refers to the closing price (If there is no closing price, it shall be the base price; the same hereinafter) on the day immediately before the action date of ex-rights or ex-dividend. Provided that, in the case of the first ex-dividend for an issue initially listed, the closing price of cum dividend shall be the closing price of an issue whose trading volume until the month immediately preceding the end of the relevant listing year is the largest, from among the listed issues of the relevant corporation; in cases where such corporation is listed during the last month of the fiscal year, it shall be the closing price of an issue whose trading volume during the last month is the largest.

3. "Issuing price" shall be the price falling under any of the followings and in the case of the capital increase without consideration, the issuing price shall deem to be "zero."

(a) Of the prices that the applicant corporation calculated and published before the action day of ex-rights (referring to the expected issuing prices or final issuing price), the most recent price; and

(b) In cases where there is no price falling under the ones noted in (a) above, the price that the Exchange calculated using the following formula (in cases where the applicant corporation has made public the formula for calculating the issuing price, such formula shall be used; the same hereinafter) while considering such parameters as the base stock price and discount rate. In such cases, if, as the starting day used to calculate the base stock price according to the following formula is the day after the action day of ex-right, the capital increase is made by preemptive rights offering, the base stock price shall be calculated by setting the starting day of calculation as "three (3) days before the record day of new stock allotment", and if the capital increase is made by public offering for existing shareholders, the base stock price shall be calculated by setting the starting day of calculation as "three (3) day before the day on which the shareholder's list is finalized".

Issuing price = [Base stock price $\times$ (1 - Discount rate)] / [1 + Ratio of bonus issue + (Ratio of paid-in capital increase $\times$ Discount rate)]

4. “Number of stocks paid as dividend or allocated to the shareholders of common stocks (different classes of stocks)” refers the number of shares calculated by multiplying the ratio of the number of common stocks (different classes of stocks) to the total number of stocks issued on the day before the action date of ex-rights or ex-dividend to the total number of stocks to be issued as a result of dividend or capital increase.

[Annex 3] [Deleted on February 27, 2025]

[Annex 4] [Deleted on February 27, 2025]

[Annex 5] [Deleted on February 27, 2025]

[Annex 6] [Deleted on February 27, 2025]

[Annex 7] [Deleted on February 27, 2025]

[Annex: Form No. 1] Notification of Unsettled Trades

(Amended on December 29, 2025)

Notification of Unsettled Trades

To: XXX Company

1. In accordance with [§13(1)] of the KONEX Market Business Regulation and [§18(2)] of the Enforcement Rules thereof, we hereby notify the details of unsettled trades.
2. We do not guarantee the accuracy of the settlement shortage quantity (calculated as settlement quantity of the day minus current holdings), and we are not responsible for any damages/losses arising from errors in the settlement shortage quantity.

Date: mm/dd/yyyy

Company name:

Director of the Department in charge: (seal)

(Unit: shares)

Settlement Date	Customer Name (ID)	Issue Name	Quantity Short	Reason for Settlement Failure	Remarks

Note. Enter one of the following in the Reason for Settlement Failure column. If the reason for settlement failure falls under item 1 and also under items 2 or 3, enter item 1. If the reason for settlement failure falls under item 4 and also falls under items 1 through 3, enter item 4:

1. Insufficient quantity;
2. Failure to receive settlement instruction;
3. Flawed settlement instruction; or
4. Delay in receipt of foreign exchange transaction settlement funds.

**[Annex: Form No. 2] Request for Trading of Treasury Stocks (Under Trust Contract)
of Listed Corporations**

(Amended on October 30, 2014)

**Request for Trading of Treasury Stocks (Under Trust Contract) of
Listed Corporations**

To: Korea Exchange

In accordance with [§14] to [§16] of the KONEX Market Business Regulation, we, the undersigned, hereby submit a request for trading of treasury stocks of the listed corporation (by means of entrustment) as described below:

Name of Issue	Quantity	Type of trading	Quotation date	Type of market	Remarks

Notes:

1. In “Type of trading” column, indicate “sell” or “buy”.
2. In “Type of market” column, indicate “the regular session” (distinguishing “before the market opening” and “during the session”) or “the off-hours session (off-hours block trading)”.
3. In “Remarks” column, write down “price limit not applied” in cases of receiving an order from a KONEX-listed company that intends to acquire its treasury stocks pursuant to [§26-2(3)] of the Regulation.

Date:

Company name:

Name and seal of representative director:

[Annex: Form No. 3] Notification of Details of Agreement for Liquidity Provision
(Amended on April 17, 2019)

Notification of Details of Agreement for Liquidity Provision

To: Korea Exchange

In accordance with [§17(6)] of the KONEX Market Business Regulation and [§22(3)] of the Enforcement Rules thereof, we, the undersigned, hereby notify the details of agreement on liquidity provision as follows.

Date:

Name and seal of company:

Contract type	New Contract/ Amendment /Termination
Stock for which the liquidity is provided	
Quotation spread ratio	
Quotation quantity	
Term of contract	
Reasons for exempting the obligation to submit liquidity providing quotation	

Notes:

1. In the case of a new contract, it shall include the case of intending to submit the liquidity provision quotation again pursuant to [§22(4)] of the Enforcement Rules of the KONEX Market Business Regulation. In this case, indicate the relevant matter in the remarks.
2. In the case of amendment, the details before and after the amendment should be stated separately.
3. The quotation spread ratio refers to the ratio pursuant to [§18(3)] of the KONEX Market Business Regulation.
4. Reasons for exempting the obligation to submit liquidity providing quotation refers to the details stipulated in [§22(1)6] or [§22(1)7] of the Enforcement Rules of the KONEX Market Business Regulation if such details have been agreed on.

Attachment: A copy of the Agreement for Liquidity Provision

[Annex: Form No. 4] Request for One-sided Auction

Request for One-sided Auction

To: Korea Exchange

In accordance with [§27(6)] of the KONEX Market Business Regulation and [§35(1)] of the Enforcement Rules thereof, we, the undersigned, hereby submit a request for one-sided auction as follows.

Name of Issue	Quantity	Lowest Bidding Price	Least Quantity to Sell	Remarks

Date:

Name of company:

Name and seal of representative director:

[Annex: Form No. 5] Request for Correction of Transaction Errors

Request for Correction of Transaction Errors

1. Details of trades (mm/dd/yyyy)

Name of Issue (Code No.)	Sell or Buy	Quantity	Price	Note

2. Details of correction requested

Date:

Name and seal of company:

[Annex: Form No. 6] Agreement on Correction of Transaction Errors

Agreement on Correction of Transaction Errors

The Korea Exchange (hereinafter referred to as "the Exchange") and xxx Securities Company, Ltd. (hereinafter referred to as "the Company"), who is a member of the Exchange agree on the following terms and conditions for the correction of transaction errors occurred in the course of execution of trades on the KONEX Market by the Exchange and the errors occurred due to the failures of the Exchange computer system (hereinafter referred to as "transaction errors").

Article 1. In cases where any transaction error has occurred during the course of trade execution by the Exchange, the Company shall assume products traded by such error transaction as products in proprietary account transaction upon receiving the request from the Exchange in accordance with [Annex: Form No.7 Written Request for Correction of Transaction Errors].

Article 2. The Company shall trade the products assumed upon receipt of the request from the Exchange by way of offsetting transaction whose quotations participate in the determination of the opening price on the following day. Provided that, when placing quotations participating in the determination of the opening price was not possible due to unavoidable reasons such as the failure of the Exchange computer system, the products shall be traded by way of offsetting transaction whose quotations participate in the determination of the closing price. The results of such offsetting transaction shall be reported to the Exchange in accordance with [Annex: Form No. 8 Notification of Correction of Transaction Errors] without delay. Provided that, in cases where the assumed products are not cleared by the offsetting transaction on the following day, the remaining products shall be traded in the same manner on the next trading day.

Article 3. The Exchange shall settle the profits and losses incurred to the Company (includes transaction tax, all expenses incidental to such transactions and the dues of concerned member; the same hereinafter) resulting from the assuming and trading the products acquired by the transaction error according to the request by the Company in accordance with [Annex: Form No.9 Request for Settlement for Handling Transaction Errors] without delay. Provided that any profits and losses resulted from the negligence of the Company in the course of handling the assumed products shall be settled ex post according to the request by the Exchange in accordance with [Annex: Form No. 10 Request for Settlement Adjustment for Handling Transaction Errors].

Article 4. If there is any difference of opinions between the Exchange and the Company in settling the profits or losses incurred, regarding the method of settling profits and loss when

ex-rights or ex-dividend occurs to the products assumed and any other matters that are not stipulated in this agreement, such difference shall be resolved through the consultation and mutual agreement between the two (2) parties.

Article 5. This agreement shall be valid for one (1) year from the date of agreement, and unless any objection on the terms and conditions of this agreement is raised at least thirty (30) days prior to the expiry date, it shall be deemed that an agreement with the same terms and conditions as the one expired has been signed on its expiry date.

We, the Exchange and the Company, hereby agree the above-mentioned terms and conditions, and sign and seal two (2) copies of the Agreement and keep one (1) copy each as a proof of agreement.

Date:

For and on behalf of the Korea Exchange
Name and seal of the Chairman of the Korea Exchange

For and on behalf of the xxx Securities Company
Name and seal of representative director

[Annex: Form No. 7] Written Request for Correction of Transaction Errors

Written Request for Correction of Transaction Errors

To: xxx Securities Company

In accordance with Articles 1 and 2 of the Agreement for Correction of Transaction Errors, we hereby request you to assume and settle the following products for which transaction errors have been made:

Date:

Name and seal of the head of department in charge:

KONEX Market Division

The Korea Exchange

Name of Issue	Date of Transaction	Date of Settlement	Sell or Buy	Quantity	Price	Remarks

[Annex: Form No. 8] Notification of Correction of Transaction Errors

Notification of Correction of Transaction Errors

To: Korea Exchange
Attn: KONEX Market Division

In accordance with Article 2 of the Agreement for Correction of Transaction Errors, we hereby notify the results of trading the products that we assumed.

Date:
Name and seal of the head of department in
charge of prop trading:
xxx Securities Company

Details of Products Assumed by Transaction Errors					Results of Offsetting Transactions				
Name of Issue	Sell or Buy	Quantity	Price	Date Assumed	Name of Issue	Sell or Buy	Quantity	Price	Date Traded

[Annex: Form No. 9] Request for Settlement for Handling Transaction Errors

Request for Settlement for Handling Transaction Errors

To: Korea Exchange (KOSDAQ Market Division)
Attn: KONEX Market Division

In accordance with Article 3 of the Agreement for Correction of Transaction Errors, we hereby request you to settle the profits and losses resulted from our assuming and trading of the products caused by your transaction errors as follows:

Date:
Company name:
Name and seal of representative director:

Name of Issue			Sell	Buy
Details of error transaction assumed	Traded amount	Date traded		
		Quantity		
		Price		
		Amount (A)		
	Expenses	Settlement fee		
		Member due		
		Association due		
		Transaction tax		
		Subtotal (B)		
Results of offsetting trading of error transaction	Traded amount	Date traded		
		Quantity		
		Price		
		Amount (C)		
	Expenses	Settlement fee		
		Member due		
		Association due		
		Transaction tax		
		Subtotal (D)		
Amount to be settled (E)				

[Annex: Form No. 10] Request for Settlement Adjustment for Handling Transaction Errors

Request for Settlement Adjustment for Handling Transaction Errors

To: xxx Securities Company

In accordance with Article 3 of the Agreement for Correction of Transaction Errors, we hereby request you to settle the profits and losses resulting from the oversight on your part in the course of your assuming and trading of products caused by our transaction errors as follows:

Date:
Name and seal of the head of department in charge:
KONEX Market Division
The Korea Exchange

Name of Issue			Sell	Buy
Details of error transaction assumed	Traded amount	Date traded		
		Quantity		
		Price		
		Amount (A)		
	Expenses	Settlement fee		
		Member due		
		Association due		
		Transaction tax		
		Subtotal (B)		
Results of offsetting trading of error transaction	Traded amount	Date traded		
		Quantity		
		Price		
		Amount (C)		
	Expenses	Settlement fee		
		Member due		
		Association due		
		Transaction tax		
		Subtotal (D)		
Amount to be settled (E)				

[Annex: Form No. 10-2] Application for Cash Transaction
[October 30, 2014]

Application for Cash Transaction

To: Korea Exchange
Attn: KONEX Market Division

In accordance with the [§8(4)] of the KONEX Market Business Regulation and [§4/1] of the Enforcement Rule thereof, we hereby request you to designate the following transaction as a cash transaction.

Date:
Company name:
Name and seal of representative director:

- Reasons for requesting for designating as a cash transaction (describe in detail):
- Names of selling and buying parties who have placed an order for the transaction:
- Transaction details:

(Unit: shares)

Name of Issue	Quantity	Date to place quotation	Remarks

[Annex: Form No. 11] [Deleted on February 27, 2025]

[Annex: Form No. 12] [Deleted on February 27, 2025]

[Annex: Form No. 13] [Deleted on February 27, 2025]

[Annex: Form No. 14] [Deleted on February 27, 2025]

[Annex: Form No. 15] [Deleted on February 27, 2025]

[Annex: Form No. 16] [Deleted on January 15, 2026]

[Annex: Form No. 17] Report on Algorithmic Trading Accounts

[December 22, 2022]

Report on Algorithmic Trading Accounts

To: Korea Exchange

In accordance with [§82-2] of the Enforcement Rules of KONEX Market Business Regulation, we hereby report the opening, changing or closing of algorithmic trading accounts as follows.

Date: mm/dd/yyyy

Name and/or seal of the representative:

Cause of report	Open ☐ Change ☐ Close ☐	
Account number		
Investor classification		
Classification of foreign investors		
Classification of customer account / self-account		
Order process ID		
Staff in charge	Name	
	Department	
	Position	
	Phone number	
	Mobile phone number	
	Email address	

Notes:

1. The seal affixed above shall be the seal that has been reported to and registered with the Exchange.
2. The order session ID shall be entered only when the relevant ID uses the dedicated sessions.

[Annex: Form No. 18] Application (Report) for Registration of High-speed Algorithmic Trader
[December 22, 2022]

Application (Report) for Registration of High-speed Algorithmic Trader

To: Korea Exchange

According to [§82-4(1)] of the Enforcement Rules of KONEX Market Business Regulation, we hereby apply (report) for the registration of high-speed algorithmic trader as follows.

Date: mm/dd/yyyy

Nambe of corporation:

Name and seal of representative director:

	Details	
Corporation/Individual	Corporation ☐	Individual ☐
Corporate information	Trade name	
	Corporate registration Number*	
	Whether member or not	Member ☐ General ☐
	Name of representative	
Individual information	Name	
	Date of birth	
	Phone number	
	Individual or group**	Individual ☐ Group ☐
Type of investors (Investor classification code)		
Whether the investor is a foreigner or not	Foreigner ☐	Non-foreigner ☐
Foreign investor registration number		
Nationality		
Outline of business (up to 500 characters)		
Market for trading	KOSPI ☐ KOSDAQ ☐ Derivative market ☐ KONEX ☐	
Applying member		

* In the case of a foreign corporation, enter the number of the corporate (business) registration certificate (COI) of the foreign country of incorporation.

** In the case of registering a group under the name of a representative

[Annex: Form No. 19] Confirmation on Inspection of Registration Information of High-speed Algorithmic Trader

[December 22, 2022]

**Confirmation on Inspection of Registration Information of
High-speed Algorithmic Trader**

To: Korea Exchange

<Registration Information>

Corporation	Trade name	
	Corporate registration number	
	Name of representative	
Individual	Name	
	Date of birth	
	Phone number	

* In the case of a foreign corporation, enter the number of the corporate (business) registration certificate (COI) of the foreign country of incorporation.

With respect to the registration of high-speed algorithmic trader pursuant to [§82-4] of the Enforcement Rules of KONEX Market Business Regulation and the application for permission to use the trader registration number pursuant to [§82-6] of the same Enforcement Rules, we checked the above customer's registration information through related documents, etc. and hereby confirm that it is correct.

Date: mm/dd/yyyy

Nambe of corporation:

Name and seal of representative director: